Linnæus University
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Master Thesis

Competing Beyond Size

How Swedish E-commerce SMEs Use Digitalisation to Overcome Resource Constraints and Compete with Larger International Online Retailers



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Abstract

The Thesis examines how Swedish e-commerce SMEs leverage digitalisation to overcome resource constraints and compete with larger international online retailers in domestic and foreign markets. The study is based on the idea that digitalisation creates new opportunities for smaller companies by improving online visibility, customer interaction, operational efficiency and international reach. At the same time, digitalisation also increased competitive pressure, as SMEs are exposed to larger actors with stronger logistics systems, greater financial resources, advanced data capabilities and higher brand recognition.

To investigate this issue, the thesis adopts a qualitative multiple case study approach based on semi-structured interviews with representatives from 8 Swedish e-commerce SMEs. The selected companies operate in different consumer-facing sectors, including beauty, clothing care, footwear, interior design, baby products and niche retail. The empirical findings are analysed in relation to literature on SME resource constraints, digitalisation, e-commerce internationalisation, platform dependency and competitive differentiation.

The findings show that Swedish e-commerce SMEs use digitalisation in a selective and strategic way rather than as a complete solution to their limitations. Digital tools help those companies to compensate for limited resources, reach customer relationships and support International sales. However, the study also shows that digitalisation does not remove the disadvantage of smallness. Instead, it reshapes resource constraints by creating new demands related to platform management, digital marketing, content creation, customer expectation and technical capabilities. The findings further show that SMEs rarely compete with larger online retailers through price or scale. Instead, they rely on differentiation through quality, niche positioning, trust, authenticity, customer service and brand identity.

The thesis contributes to a deeper understanding on how Swedish e-commerce SMEs use digitalisation strategically under resource constraints and provides practical insights for SME managers competing in increasingly internationalised digital retail markets.

Keywords: digitalisation, SMEs, e-commerce, resource constraints, Internationalisation, digital platforms, differentiations, Sweden.

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List of Abbreviations

AI: Artificial Intelligence

B2B: Business-to-Business

B2C: Business-to-Consumer

CEO: Chief Executive Officer

CRM: Customer Relationship Management

DTC: Direct-to-Consumer

ERP: Enterprise Resource Planning

EU: European Union

GDPR: General Data Protection Regulation

IMY: Swedish Authority for Privacy Protection

IT: Information Technology

OECD: Organisation for Economic Co-operation and Development

RBV: Resource-Based View

ROI: Return on Investment

SEM: Search Engine Marketing

SEO: Search Engine Optimisation

SME / SMEs: Small and Medium-sized Enterprise(s)

1. Introduction

In the introduction chapter, we present the background of the study and explain the growing importance of digitalisation for Swedish e-commerce SMEs. The chapter discussed how digital technologies create new opportunities for smaller firms, while also exposing them to stronger competition from larger international online retailers and digital platforms. This is followed by the problem discussion, the research question, the purpose of the study, the contribution of the study and the delimitations. The chapter aims to provide a clear understanding of why digitalisation, resource constraints and competition are important issues for Swedish e-commerce SMEs.

1.1 Background

Over the past two decades, there has been a remarkable technological development in the form of a rapid diffusion of digital technologies that has fundamentally transformed the opportunities for firms to enter, compete, and expand within international markets. In consumer-facing industries such as retail and e-commerce in particular, digital infrastructures, online platforms, data-driven marketing systems, and increasingly sophisticated logistics solutions have substantially reduced transaction costs and weakened many of the traditional barriers associated with international expansion. As a result firms are now able to reach geographically dispersed customer segments, coordinate cross-border operations, and establish international market presence to a degree that has simply not been a feasible possibility in the past. They can do so without the same need for extensive physical infrastructure that previously characterised international commerce. For this reason, digital channels have evolved into central key mechanisms through which firms in different niches and of different sizes create customer value, develop competitive positioning, and pursue international growth. Simultaneously, on the other hand, it is important to keep in mind that the continued evolution of digital ecosystems has intensified competition considerably by exposing firms of all sizes to a substantially broader range of both domestic and foreign competitors than previously encountered.

Within this more interconnected and digitally mature business environment, small and medium-sized enterprises (SMEs in short) have assumed a more prominent role in international commerce. According to the European Commission (2003), SMEs are defined as firms employing fewer than 250 individuals and generating an annual turnover that is less than €50 million or retaining a balance sheet that in total is below €43 million. Even though SMEs operate on a considerably smaller scale than large well established multinational corporations, SMEs

constitute a fundamental component of modern economies through their immense contributions in areas of key economic importance such as employment, innovation, entrepreneurship, and economic dynamism. Despite this, SMEs due to their size typically face significant structural disadvantages in comparison with their larger competitors. These disadvantages frequently manifest themselves in the form of constrained financial resources, limited managerial capacity, reduced access to specialised expertise, and weaker operational infrastructure. These particular limitations become increasingly visible and pronounced in industries characterised and shaped by rapid technological developments, strong international competition with frequent cross‑border activity, and increasing digital complexity as the result of increased digital maturity.

Digitalisation is increasingly viewed and regarded as a positive transformative mechanism through which SMEs may be able to partially compensate for their inherent structural disadvantages compared to larger firms. Brennen and Kreiss (2016) conceptualise digitalisation as the integration and application of digital technologies which in turn makes it feasible to reorganise social and economic activities. This includes organisational processes, value creation, and market interactions. In a business context, this includes the scope of e-commerce platforms, digital marketing systems, automation technologies, data analytics, artificial intelligence, and digitally enabled logistics solutions. Specifically for SMEs, digitalisation has frequently been portrayed as a positive and transformative factor that is capable of lowering previously existing barriers to internationalisation for firms with few resources. This emerges by digitalisation enabling firms to access foreign consumers, coordinate dispersed operations, and compete internationally with unprecedentedly lower levels of upfront investment required than ever before historically. (Torrent-Sellens et al., 2026). Contemporary literature further distinguishes that digitalisation should not merely be viewed as an adoption process of technological tools in isolation, since this will lead to a poor understanding of digitalisation. It is important to instead view digitalisation as a broader strategic phenomena, a process through which firms are capable of developing and reconfiguring their organisational capabilities for increased efficiency and as a direct response to the changing business landscape that intensifies the competitive conditions the firm has to contend with. (Bai et al., 2026).

The importance of this development is especially evident within the growing e-commerce sector. Across Europe, business-to-consumer e-commerce has expanded rapidly, contributing heavily to the ever‑growing integration of digital retail markets and facilitation of cross-border online consumption which has reached an unprecedented scale presently. (EuroCommerce, 2024). The digital platforms have substantially lowered barriers that previously constituted major obstacles towards international trade by allowing firms to reach foreign consumers beyond their domestic markets while also at the same time allowing consumers unprecedented access to a wider range of international online retailers. However, it is important to keep in mind that this

internationalisation of digital retail markets has also intensified the competitive aspect of the business environment SMEs operate in considerably. While digitalisation is undoubtedly responsible for the creation of opportunities for SMEs by allowing them to access and therefore target foreign customers to a far higher degree, these same digital environments are increasingly dominated by large international retailers and platforms. These larger actors possess extensive advantages in logistics infrastructure, data analytics, brand recognition, financial resources, and digital marketing capabilities.

Because of this, digitalisation presents SMEs with an intriguing and fascinating strategic paradox. On the one hand, digital technologies lower market entry barriers and create opportunities for international expansion that were previously inaccessible to smaller firms. However, these same technologies and the changes in the business environment that they have brought on contribute strongly to reinforcing the inherent structural advantages of large multinational corporations and global online platforms with access to more resources. Larger firms are, due to their size, able to leverage substantial marketing budgets, sophisticated data-driven advertising systems, advanced logistics networks, and economies of scale in ways that smaller firms often simply cannot replicate on their own. Additionally, major digital actors increasingly possess the financial and organisational capacity to rapidly integrate new emerging technologies seamlessly into their operations. Prominent examples of these include AI-driven personalisation, predictive analytics, and automated customer experience optimisation. Consequently, digitalisation does not eliminate structural inequalities between firms of different sizes and access to resources. Rather, it frequently reshapes and intensifies them within the increasingly competitive digital marketplaces firms operate in.

This paradox is particularly visible and relevant in a Swedish context. Sweden is widely recognised as one of Europe's most digitally mature economies, the Swedish economy is characterised by high internet penetration, widespread digital literacy, strong English proficiency, advanced logistics infrastructure, and a consumer base highly accustomed to online shopping behaviour. PostNord's E-barometer reports consistently demonstrate that Swedish consumers regularly engage in both domestic and cross-border e-commerce by purchasing products from Swedish and foreign online retailers without any strong preference for Swedish or foreign businesses. (PostNord, 2024). These conditions facilitate favourable and intriguing opportunities for Swedish SMEs with the ambition to reach foreign consumers through the use of digital channels. However, it should also be noted that the high digital maturity of the Swedish market also serves as a tool that exposes Swedish SMEs to significant competition from foreign firms that can enter the lucrative Swedish market with relative ease.

Unlike firms that are active in less digitally mature and integrated economies, Swedish e-commerce SMEs do not only face the threat of international competition when they seek to expand internationally abroad. They are also at the same time obligated to defend their market share within their own domestic home market against large international retailers and platforms such as Amazon, Temu, Zalando, and Shein that enter the Swedish market with ease and today have acquired significant market shares. These larger actors possess significant advantages in key areas which include pricing power, logistics capabilities, advertising reach, data utilisation, and brand visibility. This results in Swedish SMEs operating within a digitally advanced domestic market that is highly exposed to international competition. Which in turn leads to a particularly relevant context for closer examination regarding how Swedish SMEs in a strategic manner implement digitalisation initiatives. These initiatives are used not only aimed towards facilitating international expansion in foreign markets, but also to retain a competitive edge in their own increasingly internationalised home market.

Previous research has devoted significant attention towards the relationship between digitalisation and the associated internationalisation opportunities for SMEs. The systematic literature reviews demonstrate that digital technologies and digital platforms can reduce barriers associated with information access, cross-border transactions, and international market communication, thereby facilitating earlier and more accessible internationalisation processes for SMEs (Nahar and Alam, 2026). Similarly, research has highlighted how SMEs may utilise digitalisation to coordinate value chain activities, strengthen customer relationships, and acquire market knowledge regarding foreign consumers (Bai et al., 2026). Tolstoy et al. (2021), for example, illustrate how Swedish retail SMEs expand internationally through experimentation, collaboration, and capability development within digital environments. Additional studies emphasise the growing importance of digital marketing capabilities, website quality, customer experience, and online branding for SMEs competing within cross-border e-commerce environments (Goldman et al., 2021).

Despite these existing contributions, substantial and important gaps remain within the existing literature. A considerable amount of the current research tends to put emphasis on digitalisation primarily as a technological adoption process or as a generalized facilitator for SME internationalisation. Correspondingly less focus has been devoted towards gaining a deeper understanding of how SMEs strategically configure and utilise digital tools under conditions characterised by considerable resource asymmetries and direct competition from dominant international digital actors with structural and resource-based advantages. Additionally, existing research repeatedly views SMEs as a relatively homogeneous category despite significant variation in their business models, market positioning, competitive strategies, and digital capabilities. Consumer-facing e-commerce SMEs operating in highly digitalised domestic

markets such as Sweden remain comparatively underexplored, especially concerning how they simultaneously pursue international expansion while at the same time defending their domestic market positions against large foreign competitors.

Furthermore, previous research often examines specific digital tools in isolation, such as social media marketing, e-commerce platforms, or search engine optimisation. There is a gap that remains concerning the limited understanding of how SMEs combine and strategically orchestrate these diverse tools in combination with one another in order to develop broader organisational and competitive strategies. This limitation is particularly evident given that SMEs operate under substantial resource constraints, which force them to make highly selective decisions concerning which digital initiatives to prioritise with little to no margins for errors or mistakes. As a result, there remains insufficient understanding of which specific combinations of digital capabilities, organisational practices, and strategic positioning mechanisms are most effective for SMEs that seek to remain competitive within highly internationalised digital retail environments.

With this background in mind, this thesis aims to examine how Swedish SMEs operating within the e-commerce sector utilise digitalisation initiatives and strategic capabilities to compete with larger international competitors. Distinct analysis is devoted not only to how these firms pursue international customers and opportunities in foreign markets, but also as to how they remain competitive within the Swedish domestic market despite the increasing penetration from large international online retailers and digital platforms that have successfully established themselves in Sweden. By examining the experiences, strategic priorities, and digital practices of Swedish e-commerce SMEs operating under significant resource constraints, this study aims to contribute to existing prior research on digitalisation, SME internationalisation, and digital competition. Furthermore, the study seeks to provide deeper insights into how precisely smaller firms strategically navigate digitally mature and internationally exposed markets characterised by intensifying global competition.

1.2 Problem Discussion

The existing body of academic research increasingly places its emphasis on the central importance of digitalisation in facilitating the internationalisation opportunities for small and medium-sized enterprises (SMEs). Multiple studies highlight that digital technologies reduce many of the traditional previous barriers related with expansion internationally by allowing firms

to gain increased access to foreign market information, conduct cross-border transactions, coordinate international operations, and engage in targeted digital marketing activities with comparatively limited upfront investment. (Jean and Kim, 2020; Torrent-Sellens et al., 2026). Furthermore, contemporary methodical literature reviews indicate that SMEs frequently depend on comprehensive combinations of digital tools such as e-commerce platforms, social media marketing, digital analytics, and online customer engagement systems in order to reinforce their reach internationally by targeting customer segments that are geographically dispersed. (Bai, et al., 2026). Current research furthermore demonstrates the significant importance of experimentation, organisational learning, and collaborative capability development as crucial mechanisms through which SMEs in a gradual manner strengthen their capacity to operate successfully within international competitive e-commerce environments. (Tolstoy et al., 2021).

Even though digitalisation has undoubtedly forged new opportunities for SMEs, the outcomes of digital transformation within international commerce remain highly uneven. The rapid growth of globalisation and the rapid diffusion of digital commerce have made firms of all sizes exposed to significantly higher international competition compared to the international competition that was previously encountered. (Barney, 1991; Teece et al., 1997). However, the benefits that have been reaped by increasingly integrated digital markets are not distributed in an equal manner among the numerous market participants. The large multinational corporations and dominant online platforms frequently boast tremendous advantages shaped by their extensive financial resources, advanced logistics infrastructure, data access, brand recognition, and sophisticated digital capabilities that SMEs often lack and often can not replicate. (Barney, 1991). The result of this is that SMEs are increasingly faced with essential strategic questions concerning how to achieve and sustain meaningful competitiveness against significantly larger actors over time despite consistent resource limitations that disadvantages SMEs.

It is often the case when digitalisation is discussed within both academic and managerial discourse, that it is viewed consistently through an overly optimistic lens (Brennen and Kreiss, 2016; Vial, 2019). Digital technologies are commonly interpreted as mechanisms that democratise international commerce by enabling smaller firms to compete on a global scale without requiring the same amount of extensive physical infrastructure or large-scale investments of larger companies. This interpretation is not without merit, it is undoubtedly the case that digital storefronts, e-commerce marketplaces, social media platforms, and increasingly reliable international payment systems have undoubtedly lowered barriers to foreign market entry and made international expansion more accessible for smaller firms than at any previous point in history. (Jean and Kim, 2020; Tolstoy et al., 2021). Nevertheless, digitalisation is often presented as an exclusively strategic solution through which SMEs may overcome structural disadvantages associated with their limited resources and their geographical constraints.

However, such a viewpoint risks oversimplifying the strategic realities SMEs have to contend with while operating within competitive digital marketplaces. In practicality, digitalisation does not terminate existing structural asymmetries between SMEs and multinational corporations; rather, it merely reshapes them and, in certain aspects, intensifies their significance. (Vial, 2019; Verhoef et al., 2021). Even though digital technologies may potentially improve SMEs' accessibility to international consumers, they at the same time expose SMEs to competitive environments increasingly dominated by digitally mature and sophisticated global actors with considerably greater resources and organisational capabilities. (Jean and Kim, 2020). Large firms are able to utilise economies of scale in key areas such as logistics, negotiate favourable shipping arrangements, significant investments in data-driven advertising, and continuously optimise conversion rates through sophisticated analytics and customer data utilisation. (Civelek et al., 2023). Additionally, the larger corporations possess greater capacity to expeditiously adopt and integrate newly developed emerging technologies such as AI-driven personalisation systems, predictive analytics, and automated customer experience optimisation into their operations for additional efficiency. (Zhang et al., 2025). Therefore, the very same digital infrastructures that lower entry barriers and provide SMEs with access to foreign markets may at the same time reinforce the competitive advantages of large dominant firms. (Verhoef et al., 2021; Vial, 2019).

This dilemma forms a fundamentally strategic paradox for SMEs. Digitalisation lowers previous significant barriers to market participation while simultaneously heavily intensifying the competitive pressures on SMEs in favour of larger actors with far less resource scarcity. For SMEs operating within e-commerce, resource scarcity consequently remains as a defining and unchanged constraint regardless of the opportunities generated by digital transformation. (Dethine et al., 2020; Civelek et al., 2023). Contrary to the multinational corporations with their extensive organisational slack, SMEs must generally conduct their operations with limited financial resources, smaller workforces, and a more constrained managerial capacity compared to larger competitors. These conditions dramatically reduce their tolerance for strategic missteps or mistakes and therefore restricts their opportunity to experiment with new unfamiliar digital initiatives for innovative purposes. While iterative experimentation and continuous modification are often affirmed within digital transformation literature, SMEs often lack the resources that would be required in order to absorb repeated failures and continuous development processes intended to develop the capabilities of the organisation. (Teece et al., 1997).

Simultaneously, the emergent abundance of digital tools and platforms results in additional strategic complexity for SMEs. Firms are increasingly confronted with a broad range of technological alternatives, including AI-enabled services, marketing automation systems, localisation technologies, customer relationship management systems, and platform-based selling solutions. Determining which technologies to prioritise, how to integrate them effectively, and

how to align them with broader organisational objectives represents a highly complex strategic challenge, particularly for firms lacking specialised expertise in digital transformation (Vial, 2019; Kraus et al., 2021). Digitalisation therefore should not merely be understood as technological adoption, but rather as an ongoing strategic process involving capability development, organisational prioritisation, and resource orchestration under conditions of significant constraint.

These challenges become even more apparent within competitive international e-commerce environments. Successfully competing in foreign digital markets demands significantly more than translated websites or international shipping capabilities. Firms must also properly navigate considerable variations in the preferences of consumers, regulations, payment solutions, delivery expectations, and market-specific purchasing behaviour (Johanson and Vahlne, 2009; Jean and Kim, 2020). Larger firms are generally able to absorb such costs without facing any significant problems. SMEs on the other hand must make wise and highly selective strategic decisions regarding where and how to allocate their limited resources for maximum utility. (Bhandari et al., 2023). Therefore, international e-commerce expansion cannot simply be understood as a question of market access, but rather as a process shaped by strategic prioritisation under resource scarcity. (Tolstoy et al., 2021).

Despite the fact that the existing literature provides valuable insights into digitalisation, SME internationalisation, and digital competition, there are multiple significant gaps that remain. (Bargoni et al., 2024; Rosyidah et al., 2023). Current research commonly highlights issues such as digital maturity, adoption barriers, and performance outcomes. (Clemente-Almendros et al., 2024). However, digitalisation is often implicitly interpreted as a relatively uniform simple and predictable process driven mainly by mere technological adoption and organisational conformity. (Vial, 2019). In a similar manner, research concerning internationalisation of SMEs frequently emphasises network development and export behaviour while in comparison limited attention towards how digital tools are strategically configured within contemporary e-commerce environments. (Johanson and Vahlne, 2009; Zhang et al., 2025). Simultaneously, much of the literature concerning digital competition and e-commerce ecosystems tends to focus primarily on large platforms, multinational corporations, or consumer behaviour rather than the strategic responses of SMEs themselves. (Verhoef et al., 2021).

Consequently, the understanding of how SMEs utilise digitalisation strategically to compensate for inherent structural and resource disadvantages in competition with larger competitors remains insufficiently explored and developed. (Dethine et al., 2020). Existing discussions repeatedly isolate specific digital tools, such as search engine optimisation, social media advertising, or marketplace participation, without examining how such tools are integrated into broader strategic

configurations adequately. (Goldman et al., 2021). This fractured perspective risks concealing whether digitalisation genuinely enables SMEs to develop sustainable competitive advantages or if it simply accelerates temporary market access without creating enduring strategic capabilities for SMEs. (Barney, 1991; Teece et al., 1997). Moreover, the propensity to focus excessively on successful digitalisation aspects risks minimising the vulnerabilities SMEs face when they become conditional upon third-party infrastructures, dominant digital platforms, or rapidly evolving technological ecosystems (Zhang et al., 2025).

Furthermore, the limitations within the existing literature concerning the tendency to view and treat SMEs as a relatively homogeneous category despite their considerable variation in market positioning, business models, and strategic orientation (European Commission, 2003). Certain SMEs compete mainly through pricing transparency and low switching costs, whereas others rely more substantially on niche specialisation, trust, authenticity, expertise, and customer intimacy. These differences are likely to have a significant impact and influence both how digitalisation is utilised and which forms of competitive advantage are realistically attainable depending on how the SMEs choose to compete. (Civelek et al., 2023). Despite this, these distinctions remain inadequately explored within the current research that has been conducted, this is limiting both when it comes to theoretical nuance and practical applicability. (Bargoni et al., 2024).

These limitations become especially considerable within the Swedish context. Sweden is a nation that is widely regarded as a digitally mature economy characterised by strong internet penetration, advanced digital infrastructure, high digital literacy, and widespread adoption of e-commerce among Swedish consumers. (PostNord, 2024). Nevertheless, the same conditions that facilitate a favorable digital commerce environment for consumers and firms alike also expose Swedish SMEs to significant international competition in their own domestic market. As a result of the small size and high purchasing power of the Swedish market, foreign online retailers and global platforms are able to enter and compete for Swedish consumers with relative ease. (OECD, 2026). Therefore, Swedish e-commerce SMEs have to contend with a dual competitive challenge: they must simultaneously pursue international growth opportunities while defending domestic market positions against increasingly dominant larger international actors with access to more resources for their operations. The duality of this situation for Swedish SMEs makes Sweden a particularly relevant setting for researching how SMEs in a strategic manner deploy digitalisation initiatives under conditions characterised by both international opportunity and intensified global competition at the same time.

With this background in mind, a central problem becomes obvious. Although digitalisation is often portrayed as a positive transformative mechanism enabling SMEs to expand internationally

and compete globally, the understanding regarding how SMEs strategically navigate the structural constraints associated with limited resources while competing directly against larger digitally sophisticated firms possessing superior logistics capabilities, stronger brand recognition, and substantially greater access to capital and data remains limited. (Dethine et al., 2020; Bhandari et al., 2023). Furthermore, ambivalence persists in regard to which combinations of digital initiatives are the most efficient during varying unpredictable and competitive conditions and how SMEs balance the opportunities created by digitalisation against the dependencies and vulnerabilities it may simultaneously produce.

Addressing these issues demands a closer examination regarding how SMEs strategically configure and implement digitalisation within highly nuanced and competitive digital marketplaces. Hence, this study will focus on how Swedish e-commerce SMEs operate with their international ambitions in mind and investigates at depth regarding how they utilise digital tools, organisational capabilities, and strategic positioning to compete both internationally and within the increasingly internationalised Swedish home market. By examining how smaller firms seek to remain competitive despite significant resource asymmetries, this study seeks to contribute to existing literature concerning digitalisation, SME internationalisation, and digital competition while at the same time providing deeper insights into how SMEs strategically navigate digitally mature and globally exposed e-commerce environments.

1.3 Research Gap

Despite the expanding body of research regarding SMEs internationalisation initiatives and digitalisation, there are still multiple important research gaps that remain insufficiently accounted for in the existing literature. Current research has mainly focused on rapidly internationalising “born global” firms, manufacturing SMEs, or technology-oriented ventures with strong digital capabilities from inception. (Tolstoy et al., 2021; Bai et al., 2026). In comparison far less focus has been directed towards consumer-facing e-commerce SMEs operating within highly competitive retail environments characterised by intense digital competition, strong price transparency, and direct exposure to large international online retailers and platforms.

Furthermore, prior studies frequently recognize that digital technologies facilitate SME internationalisation by reducing barriers associated with foreign market entry, international communication, and cross-border transactions. (Jean and Kim, 2020; Bargoni et al., 2024).

However, the existing literature often approaches digitalisation in a broad or fragmented manner. Digital tools such as social media marketing, search engine optimisation, marketplace participation, digital analytics, and data-driven customer engagement are often discussed as isolated mechanisms or tools instead of being perceived as interconnected strategic configurations deeply embedded within the broader organisational capabilities of SMEs. (Kraus et al., 2021). Because of this, there is a limited understanding of how SMEs strategically combine and utilise these specific digitalisation initiatives in practice when competing against far larger international actors with superior resources, logistics capabilities, and brand recognition.

Additionally, previous research often identifies the opportunities associated with digitalisation while dedicating far less attention to the structural weaknesses and strategic trade-offs SMEs face while operating under conditions of resource scarcity. (Vial, 2019; Verhoef et al., 2021). As a consequence there is still insufficient knowledge about how smaller e-commerce firms prioritise between digital initiatives, how they allocate limited organisational resources wisely, and how they develop competitive strategies capable of creating and sustaining long-term competitiveness in digitally saturated markets. This limitation becomes especially fundamental in consumer-oriented e-commerce sectors where customer acquisition costs, platform dependency, online visibility, and expectations regarding delivery speed and customer experience continuously intensify the competitive pressure on firms.

The Swedish conditions add further relevance to this research gap since Sweden is a digitally mature and highly internationalised e-commerce environment characterised by advanced digital infrastructure, widespread online shopping behaviour, and substantial cross-border consumption which lowers entry barriers for foreign retailers. (PostNord, 2024). While these conditions shape possibilities for Swedish SMEs to acquire international customers since it provides them with increased access to international customers through digital channels, they at the same time are highly exposed to considerable competition from large foreign retailers and global platforms that can easily penetrate the Swedish markets and offer their products to the average Swedish consumer. Therefore, Swedish SMEs must not only apply digitalisation to support international expansion initiatives abroad, but they must also strategically employ digital tools and organisational capabilities in order to maintain their competitiveness against foreign firms within their domestic market.

In spite of the increasing strategic importance of this subject, there is limited research that has closely examined how Swedish e-commerce SMEs in practice navigate the dual competitive pressure they are exposed to through digitalisation. In more precise terms, there is an insufficient understanding of how smaller online retailers strategically deploy digital tools, organisational routines, customer relationships, and niche positioning in order to compensate for structural

resource disadvantages when competing against large international actors in both domestic and international markets. Addressing this research gap is not only important from a strict theoretical perspective but also from a purely practical viewpoint as it could contribute valuable deep insights regarding how SMEs can use digitalisation in a strategic, ethical and sustainable manner rather than viewing it as a simple technological necessity.

1.4 Research Question and Purpose

Against the backdrop of the problem area and research gap discussed in the previous sections, this study examines how Swedish e-commerce SMEs strategically leverage digitalisation to strengthen competitiveness under conditions characterised by resource constraints and increasing competition from larger international online retailers and digital platforms. Particular emphasis is placed on understanding how Swedish e-commerce SMEs compete within both domestic and foreign markets despite structural disadvantages associated with smaller organisational size and more limited resources. Against this backdrop, the following research question is formulated:

How do Swedish e-commerce SMEs leverage digitalisation to overcome resource constraints and compete with larger international online retailers in domestic and foreign markets?

To support the investigation of the main research question, the following sub-questions are examined:

Sub-question 1

Which digital tools and strategies do Swedish e-commerce SMEs utilise to attract, serve, and retain domestic and international customers?

Sub-question 2

How do these digital strategies assist Swedish e-commerce SMEs in compensating for resource disadvantages compared to larger international online retailers?

Sub-question 3

What challenges do Swedish e-commerce SMEs encounter when competing with large international online retailers and global digital platforms?

The objective of this study is to explore and analyse in depth how Swedish e-commerce SMEs strategically utilise digitalisation initiatives in order to enhance their competitiveness in relation to larger international online retailers. More specifically, this study aims towards identifying which digital tools and strategic initiatives these firms prioritise, how they combine and implement them within areas such as digital marketing, customer interaction, website management, logistics, and brand positioning, and how the managers perceive the role of digitalisation in overcoming the organisational resource constraints they have to contend with due to their small size.

By adopting a qualitative multiple case study approach based on interviews with managers, CEOs and founders of different Swedish e-commerce SMEs, bolstered by secondary data from company websites and digital observations, our study seeks to generate an in-depth understanding of how Swedish SME online retailers thoughtfully manoeuvre an increasingly complex and competitive digital business environment. The study provides theoretical insights by providing context-specific insights into how consumer-oriented Swedish e-commerce SMEs use digitalisation as a strategic tool for managing their resource limitations and competing against significantly larger international actors. From a managerial perspective, the findings seeks to provide practical insights for SME managers regarding how to utilise scarce organisational resources as strategically as possible by allocating resources across different digital initiatives in order to increase the competitiveness within both domestic and international e-commerce markets.

1.5 Contribution of the Study

This study contributes to the current literature on digitalisation, SME internationalisation, and e-commerce competitiveness in several important ways.

First, this study contributes context-specific insights into how Swedish consumer-facing e-commerce SMEs navigate a digitally mature and internationally exposed retail environment. While prior studies have frequently examined SME internationalisation and digitalisation within broader and more generalised contexts, this study contributes by examining how Swedish e-commerce SMEs strategically navigate a business environment where digitalisation simultaneously creates opportunities for international expansion while intensifying competitive pressure from larger international actors within both domestic and foreign markets.

Second, the study contributes theoretically by providing detailed insights into the concrete digital tools, organisational routines, and strategic practices utilised by Swedish e-commerce SMEs

when competing against substantially larger international actors. While existing literature frequently discusses digitalisation as a broad enabling phenomenon for SME internationalisation, comparatively less attention has been devoted towards understanding how smaller e-commerce firms deliberately combine and prioritise digital initiatives under conditions characterised by significant resource constraints. By focusing on managerial experiences and strategic decision-making processes, this study contributes towards a more nuanced understanding regarding how SMEs attempt to compensate for structural disadvantages associated with limited organisational and financial resources.

Third, the study contributes theoretically by enhancing the understanding of digitalisation not merely as a technological process of adoption, but rather as a broader strategic mechanism through which SMEs seek to develop competitiveness within increasingly globalised and digitally saturated markets. By doing so, the study contributes to ongoing discussions regarding the relationship between digitalisation, organisational capabilities, and resource constraints within the context of SME internationalisation and e-commerce competition.

Finally, this study contributes from a managerial perspective by providing practical insights relevant to SME managers operating within highly competitive online retail environments. The findings contribute to a deeper understanding regarding how smaller firms may strategically allocate scarce organisational resources across digital initiatives related to marketing, customer relationships, online visibility, logistics, and brand positioning in order to strengthen competitiveness within both domestic and international e-commerce markets.

1.6 Delimitations

Like any research project, this study is subject to several delimitations related to its empirical scope, theoretical focus, and methodological design. These delimitations have been made deliberately in order to maintain analytical depth and ensure alignment with the purpose and research questions of the study.

Empirically, the study is delimited to small and medium-sized enterprises in accordance with the definition established by the European Commission, namely firms with fewer than 250 employees and within the specified turnover and balance sheet thresholds (European Commission, 2003). Furthermore, the study focuses specifically on Swedish business-to-consumer e-commerce SMEs operating primarily through online retail channels. The selected firms either currently conduct international online sales or actively pursue international customers through digital channels. Consequently, larger firms, purely business-to-business

actors, marketplace operators, and multinational digital platforms such as Amazon and Zalando are excluded from the empirical investigation, as the purpose of the study is specifically to examine how smaller resource-constrained firms compete within digital retail environments.

Geographically, the study is delimited to the Swedish context. While the participating firms operate internationally to varying degrees, the study does not seek to compare SMEs across different national contexts or conduct an institutional comparison between foreign markets. Instead, international markets are examined from the perspective of Swedish SMEs and their managerial experiences. Furthermore, although the study addresses competition from large international retailers within both domestic and foreign markets, it does not attempt to provide a comprehensive analysis of individual destination countries, international regulatory systems, or country-specific consumer behaviour.

Theoretically, the study focuses primarily on digitalisation in relation to SME competitiveness and international e-commerce activity. More specifically, the study examines how digital tools, digital platforms, and digitally supported organisational practices are strategically utilised within areas such as marketing, customer interaction, online visibility, logistics coordination, and brand positioning. Consequently, the study does not examine highly technical aspects of information systems, software development, or quantitative measurements of digital performance outcomes in detail. Rather than focusing on technological infrastructure itself, the emphasis is placed on how managers strategically utilise digitalisation as a mechanism for addressing organisational resource constraints and competitive pressure.

Methodologically, the study adopts a qualitative multiple case study approach based primarily on semi-structured interviews and complementary secondary data. As a result, the findings should be interpreted as context-dependent analytical insights rather than statistically generalisable conclusions applicable to all e-commerce SMEs. However, while statistical generalisation is not the objective of the study, the findings may nevertheless contribute analytical generalisation by generating deeper understanding of how Swedish e-commerce SMEs strategically navigate digital competition within highly internationalised online retail markets.

1.7 Structure of the thesis

The remainder of this thesis is structured as follows. Chapter 2 presents the literature review and the conceptual framework, focusing on SME resource constraints, digitalisation, e-commerce internationalisation and competition with large online retailers. Chapter 3 explains the

methodology, including the research design, case selection, data collection and data analysis. Chapter 4 presents the empirical findings from the case companies. Chapter 5 analyses and discusses the findings in relation to previous research and conceptual frameworks. Chapter 6 concludes the thesis by describing the findings, contributions, managerial implications, limitations and suggestions for future research.

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2. Literature Review

The chapter presents the theoretical and academic foundation of the study. It reviews literature related to SMEs, resource constraints, digitalisation, e-commerce internationalisation, digital platforms and competition with larger retailers. The chapter also discussed how SMEs may use digital tools, customer-facing technologies and differentiation strategies to strengthen their competitiveness despite limited resources. Finally, the chapter presents the conceptual framework that guides the empirical investigation and analysis.

2.1 SMEs, resources and competitive advantage

Small and medium-sized enterprises (SMEs) play a central role in modern economies and are therefore a key focus within international business research of the modernized and developed economies of today. As a result of this, they are also granted a central role in the research field of international business. Despite their smaller organisation compared to the large multinational corporation, SMEs contribute significantly to economic development through innovation and employment generation through innovative initiatives and employment opportunities. (European Commission, 2003; OECD, 2026) However, SMEs are typically constrained by limited resources that affect their ability to operate and compete effectively in order to compete in international markets. These constraints often take the form of limited capital, a restricted managerial capacity and less access to specialised capabilities such as more advanced technological infrastructure and expertise in key areas like marketing. The result of this is that SMEs have to contend with substantial challenges compared to their larger counterparts that they have to compete with (Bargoni et al., 2024).

In the literature regarding strategic management, the Resource-Based View or RBV in short is a theoretical framework that provides a clear understanding of how firms may achieve and sustain a competitive advantage. (Barney, 1991) In the RBV, firms achieve competitive advantage when they possess resources that are either rare, valuable, difficult to replace or difficult to imitate. These resources could be intangible assets like brand reputation or unique expertise, as well as tangible assets such as proprietary technologies. Regarding SMEs, it is vital to realize that they cannot remain competitive with larger corporations on scale; competitive advantage for an SME often emerges as a result of development and efficient use of resources that are unique and therefore difficult for larger corporations to replicate (Dethine et al., 2020). However, while the Resource-Based View explains how firms can achieve competitive advantage through valuable and rare resources, it offers limited insight into how such resources are developed, adapted, and reconfigured in rapidly changing digital environments (Barney, 1991). Dynamic capabilities is a concept that relates closely with the RBV. This concept centers around the ability of a firm to identify opportunities in the business environment, effectively exploit these opportunities through well planned strategic actions, the reconfiguration of resources as a direct response to changing conditions in the business environment is another central aspect of this theoretical concept (Teece, 2007). Dynamic capabilities are of particular relevance in business environments where technological advancements play a key role in facilitating an evolving competitive landscape. In such market conditions, corporations must continuously adapt their operations and resource base to remain competitive. This highlights the importance of dynamic capabilities as an extension of RBV, particularly in digital contexts where firms must continuously adapt their resource base rather than rely on static advantages (Teece, 2007; Civelek et al., 2023).

For SMEs that operate in vast international markets, the theoretical perspectives mentioned above are of great importance.. The limited resources mean that SMEs need to develop innovative advantages, strategic flexibility and the development of specialised capabilities that are difficult for larger firms to replicate. If utilised properly, digital tools and technology may serve as important strategic resources that serve as compensation for the severe structural disadvantages compared to their larger corporations. Therefore, the understanding of how SMEs develop and leverage digital tools has become increasingly relevant for research with the literature in international business (Bargoni et al., 2024).

2.2 Digitalisation and digital business strategy in SMEs

Digitalisation has emerged as a central concept in discussions on business transformation for the development of competitive strategies. Generally, digitalisation is commonly defined as the

integration of digital technological tools for transforming organisational efficiency through organisational processes, market interactions and business models (Vial, 2019). It is crucial to properly distinguish between the related concepts like digital transformation, digitisation and digitalisation. Digital transformation serves as an absolute comprehensive change in an organisation through the use of digital technologies that essentially reshapes the business models and value creation processes the organisation engages in (Vial, 2019; Verhoef et al., 2021). Digitisation refers to the conversion of analogue information into digital formats, digitalisation on the other hand encompasses a broader application of digital technologies with the aim of enhancing the activities of the organisation for increased efficiency (Brennen and Kreiss, 2016).

In the context of SMEs, it should be recognized that digitalisation has recently been recognised as a significant strategic matter instead of a simple technological one. Digital tools allow firms to enhance their operations by interacting with customers, coordinate the suppliers within their supply chain and managing internal processes (Bhandari et al., 2023). This development makes it far easier and cheaper for firms to reach international markets compared to previously. This is of extra importance to SMEs since it allows them to offer their goods and services to a large number of consumers in a manner that was simply unattainable previously for SMEs. The result of this development is that digital infrastructure and digital tools play a large role in the strategic considerations of SMEs. However, while digitalisation is often presented as an enabler of SME competitiveness, its effectiveness depends on how digital tools are strategically integrated into the firm's overall business model, rather than merely adopted as isolated technologies. SMEs usually cultivate a range of different digital tools in order to enhance their business activities. Prominent digital tools include customer relationship management systems (CRM) e-commerce platforms, cloud computing services, platforms for digital marketing, data analytics tools and enterprise resource planning systems (ERP) (OECD, 2026). Proper integration of these vital tools may lead to SMEs successfully enhancing their operational efficiency which in turn allows them to not only expand their market reach but also improve their engagement with their existing customers.

However, it is important to note that the implementation of digital technologies is not a small endeavor. Challenges that SMEs often have to contend with include limited financial resources, a lack of specialised IT skills and an organisation that may be hesitant to change (Clemente-Almendros et al., 2024). These challenges form barriers that greatly limit the ability of SMEs to fully harness the potential of digital technologies if they are not dealt with. Therefore, the development of digital capabilities within an organisation is essential in order for the organisation to have the ability to efficiently implement digital tools in an appropriate manner that is in alignment with the strategic objectives of the organisation. This digital

competence has become a significant determining factor of SME success in an increasingly digitalised business environment. This suggests that digitalisation in SMEs should not be understood solely as a technological investment, but as a capability-building process that requires organisational learning and strategic alignment (Civelek et al., 2023).

2.3 E-commerce and SME internationalisation

Digitalisation has lowered the entry barriers for SMEs into foreign markets substantially, furthermore, it has also significantly transformed how SMEs engage in internationalisation processes (Rosyidah et al., 2023). Prior to digitalisation, expansion internationally required significant financial resources and substantial investments in physical infrastructure such as distribution networks and the formation of a local market presence (Temouri et al., 2025). In contrast, the leveraged digital technologies and online platforms have lowered these barriers to such a degree that firms of any size can reach international customers through digital channels (Bargoni et al., 2024; Zhang et al., 2025). The rise of cross-border e-commerce is a particularly important development in this regard. Cross-border e-commerce refers to transactions taking place online in which the seller and buyer are situated in different countries (Temouri et al., 2025). Through the growth of cross-border e-commerce SMEs have been able to gain pivotal access to international markets in a direct manner through digital platforms, online marketplaces and websites in a manner that is unprecedented. It is this development that has allowed numerous SMEs to actively pursue a wide international expansion strategy at an early stage in their development, which was previously not feasible for most SMEs.

There is a growing amount of literature which implies that digital initiatives can aid SMEs with facilitating internationalisation in numerous ways. Firstly, digital technologies, if used properly can reduce information costs by giving firms valuable insights regarding market conditions and customer preferences across geographical borders (Zhang et al., 2025). Secondly, sophisticated digital marketing tools gives SMEs the ability to specifically target international customer segments through online advertising, social media platforms and search engine optimisation to a highly precise degree. Thirdly, digital platforms can facilitate cross-border transactions by ensuring that the necessary logistics integration, customer support systems and payment solutions are in place (Zhang et al., 2025; Temouri et al., 2025). Despite these advantages, the ability to leverage such tools effectively varies significantly between firms, suggesting that digital access alone does not guarantee successful internationalisation (Torrent-Sellens et al, 2026).

However, despite these promising opportunities it is important to recognize that digitalisation is not an automatic guarantee for successful international expansion. It opens up for a lot of possibilities, but it does not remove all associated risks with international expansion (Priyono et al., 2026). Research clearly indicates that the outcome of digital internationalisation initiatives are heavily dependent upon the capabilities of the firm to integrate digital technologies in alignment with their strategic objectives and goals. Additionally, much of the existing research focuses on manufacturing firms or business-to-business contexts, while comparatively little attention has been given to consumer-oriented e-commerce SMEs. This limits our understanding of how such firms strategically utilise digital tools to compete in highly competitive online retail environments.

2.4 Digital customer interface in cross border e-commerce

In well developed digital retail environments, the competition between different firms often emerges at the customer interface, where the consumer interacts directly with the companies through the use of digital channels (Goldman et al., 2021). For SMEs involved in cross-border e-commerce this interface constitutes the primary stage for gaining the trust, attention and sales from the customers in direct competition with other companies. Digital marketing is a key category of digital tools that plays a central role at the customer interface. It encompasses a wide range of differing strategies such as search engine marketing (SEM), social media marketing, email campaigns, influencer marketing and search engine optimisation (SEO) (Goldman et al., 2021). These tools, when effectively implemented, can allow SMEs to effectively advertise their products to potential international customers and the targeting of specific chosen customer segments in various foreign markets (Goldman et al., 2021; Bhandari et al., 2023).

Another important aspect of the customer interface can be found in the usability and quality of the online store or website that the company presents to the customers (Goldman et al., 2021). The design of the website in key aspects such as overall usability, navigation and loading speed are crucial for influencing purchasing decisions of consumers in ways that positively influence purchasing decisions. In the international cross-border context there are important additional factors to take into consideration such as strong trust signals in the form of customer reviews and security certifications, secure payment options that are familiar and preferable for the customers, transparent shipping policies and localisation of currency and language are of great importance for creating trust between SMEs and consumers (Goldman et al., 2021; Eduardsen et al., 2023).

A strong focus on customer relationship management also plays a key role for digital retail strategies. SMEs often employ CRM systems, newsletters, loyalty programmes, online customer service tools and personalised marketing campaigns in order to cultivate and maintain customer relationships for the long term (Goldman et al., 2021). The purpose of this is about gathering and analysing customer data which in turn allows for more targeted marketing and a more personalised customer experience while simultaneously it also allows the SMEs to create a strong bond with their customers in the long term.

However, it is often resource-intensive to implement and manage these digital tools. As a result of this it is important for SMEs to make wise strategic decisions regarding what digital tools they should prioritise at what time and how to properly allocate their limited resources in a manner that ensures maximum efficiency. The ability to wisely position digital tools at the customer interface has developed into an important factor regarding competitive performance for SMEs in international e-commerce markets. This creates a strategic tension for SMEs, where the need to invest in multiple digital tools must be balanced against limited organisational resources (Dethine et al., 2020; Civelek, Krajčík and Ključnikov, 2023).

2.5 SME competition in digital e-commerce markets

Global online retailers have experienced a rapid growth that has fundamentally reshaped the competitive landscape. This is evident in the form of large online retailers and platforms like Amazon, Zalando, Temu and Shein; these large retailers possess significant advantages in key metrics such as scale, data analytics capabilities, marketing budgets and logistics infrastructure (OECD, 2026; Zhang et al., 2025). These significant advantages allow these firms to present lucrative pricing, extensive product assortments and enhanced delivery services to consumers that are difficult for SMEs to replicate (OECD, 2026). As a result these large e-commerce platforms pose a major threat for smaller online retailers, they intensify the competition by offering low prices and increasing what customers expect regarding delivery speed and customer service (OECD, 2026; Goldman et al., 2021). However, on the other hand they also create opportunities for SMEs through the access they grant SMEs to international markets in the form of marketplace participation (Zhang et al., 2025).

Existing research implies that SMEs embrace differing strategic measures as a response to the fierce competitors large multinational online retailers constitute. Instead of attempting to compete directly on low prices or scale most SMEs direct their focus towards strategies centered around niche products. By offering specific products that are tailored to suit the preferences of

specific customer segments SMEs can stand out in comparison to larger online retailers. Differentiation through superior product quality, sustainability, brand identity or authenticity are key strategies that are often utilised by SMEs. However, smaller retailers may also seek to sustain competitive advantage by offering superior customer service, an engaging origin story for their brand and community engagement (Tolstoy et al., 2021). This suggests that SMEs rarely compete directly with large platforms on price or scale, but instead rely on differentiation strategies that are often enabled and amplified through digital technologies.

Regardless of which strategy an SME focuses on, digital technologies serve as the key to properly implementing these strategies. Social media platforms, online communities and content marketing offers SMEs the lucrative opportunity to engage with consumers and build strong relationships with customers based on their distinct brand identity that sets them apart from the larger competition (Tolstoy et al., 2022). Although research on SME internationalisation and digital platforms has grown significantly, there is still limited qualitative insight into how consumer-facing e-commerce SMEs strategically combine digital tools, organisational capabilities, and market positioning to compete directly with large international online retailers (Bargoni et al., 2024; Zhang et al., 2025). This gap is particularly relevant in digitally advanced markets such as Sweden, where SMEs operate under both high opportunity and intense competitive pressure.

2.6 Conceptual framework

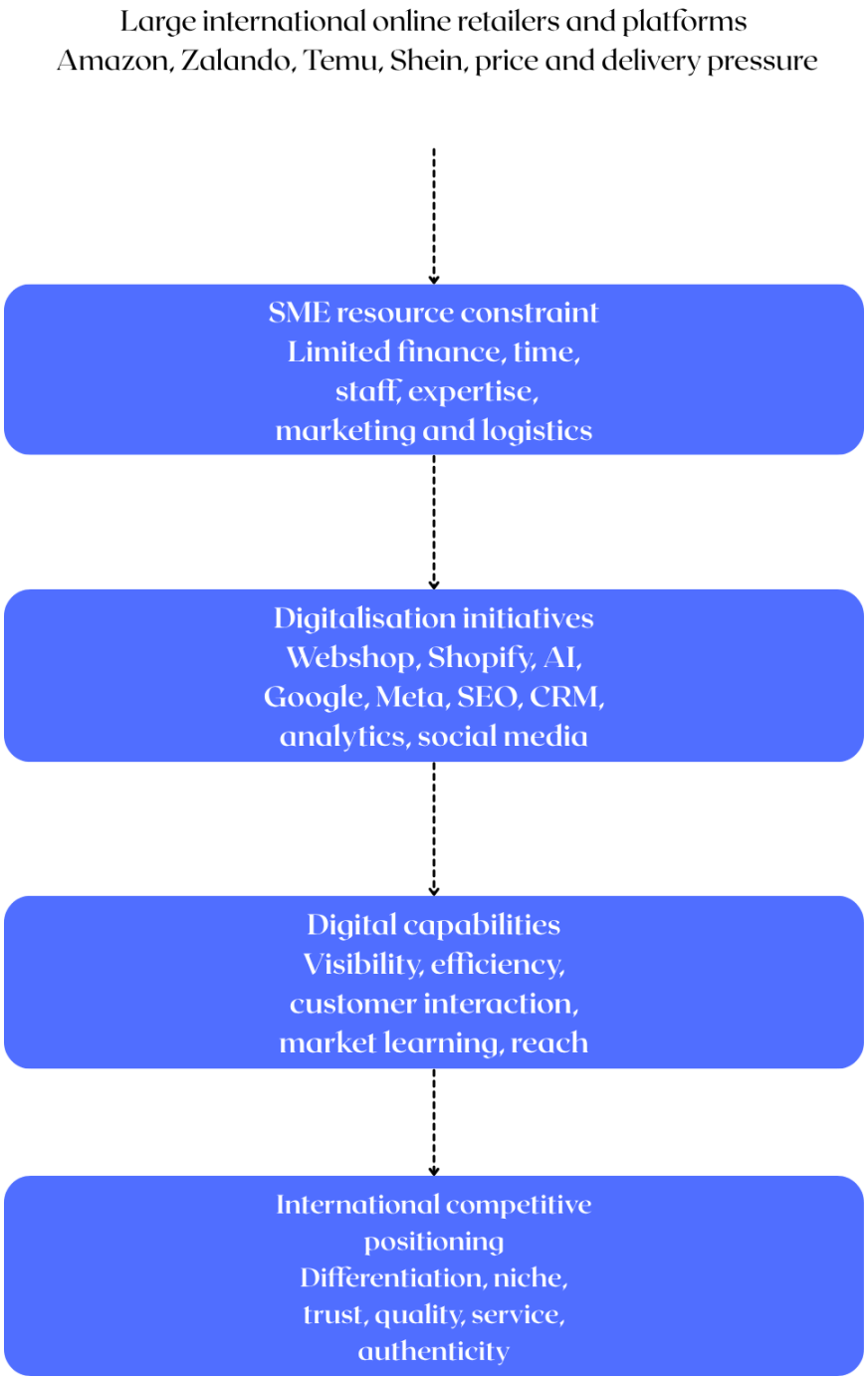
The theoretical perspectives that have been elaborated upon above forms the basis of this study. The study will adopt a conceptual framework that integrates well with insights from digitalisation, international e-commerce research and SME strategies (Zhang et al., 2025). The framework will make the assumption that SMEs must take structural resource constraints into account which heavily influences their behaviour and strategic priorities (Bhandari et al., 2023).

Figure 2.6.1 illustrates the conceptual framework that guides this study. The purpose of the figure is to specify how the main concepts in the research question are connected and to demonstrate how the literature review is translated into the analytical structure utilised for the empirical chapters of the thesis. The framework was developed from the literature on SME resource constraints, digitalisation, e-commerce internationalisation, digital platforms and differentiation. The purpose is not intended as a statistical cause-and-effect model, but rather as a qualitative framework that helps organise the interview guide, empirical findings and analysis.

The framework originates from the competitive pressure created by large international online retailers and platforms. These actors shape the market conditions in which Swedish e-commerce SMEs conduct their operations by elevating customer expectations around key areas such as price, visibility, product range, convenience and delivery speed. These external pressures are placed above the model since it influences the whole strategic situation of SMEs, both in Sweden and foreign markets alike.

Figure 2.6.1 Conceptual framework of the study

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The central aspect of the framework is that Swedish e-commerce SMEs operate under resource constraints, including limited finance, time, staff, expertise, marketing capacity and logistics

capacity. These resource constraints influence the capabilities of SMEs including which digitalisation initiatives SMEs can realistically prioritise and adopt. Digitalisation initiatives refer to the concrete tools and practices utilised by the firms, such as webshops, Shopify, AI-supported tools, Google and Meta advertising, SEO, CRM systems, analytics and social media accounts.

Through leveraging these initiatives, SMEs may be able to develop digital capabilities that allow them to achieve increased visibility, efficiency, customer interaction, market learning and reach. These capabilities are crucial since they support the firms' competitiveness and their positioning in domestic and foreign markets simultaneously. In this thesis, competitive positioning is viewed mainly through differentiation, niche focus, trust, product quality, customer service and authenticity, instead of through price or scale. The framework therefore highlights digitalisation as the mechanism for linking SME resource constraints to competitive positioning under pressure from larger online retailers.

The arrows should be interpreted as a guide through the analytical logic rather than a fixed linear process. In practice, this relationship between the concepts may be iterative. Resource constraints play a key role in shaping digital choices, but digital tools may also create new forms of constraints, such as platform dependency, higher marketing costs or increased customer expectations. This is why the framework is used as a clearly defined starting point for the empirical analysis, rather than serving as a final explanation. The framework brings structure and clarity to the study by connecting the research question, interview themes, empirical findings and later discussion.

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3. Methodology

The methodology chapter explains how the study was designed and conducted. It presents the research perspective, research approach, research design, case selection, sampling strategy, data collection process, interview guide and data analysis method. The chapter also discusses the quality of research, ethical considerations and the division of work between the authors. The purpose of this chapter is to make the research process transparent and explain why a qualitative multiple case study is suitable for answering the research question.

3.1 Research perspective

This thesis adopts an interpretivist research perspective, sometimes also discussed through a hermeneutic orientation in business and management research. The central aim of the study is to understand how managers in Swedish e commerce SMEs interpret and act on digitalisation when they face resource constraints and compete with larger international online retailers in domestic and foreign markets. This type of research question requires attention to meaning, context, and managerial sensemaking, rather than measurement of variables in a way that would allow statistical testing. Interpretivism is therefore appropriate because it enables the researchers to explore how participants describe their reality, how they frame challenges and opportunities, and how they justify strategic choices in relation to digital tools and international competition (Saunders et al., 2023).

From an ontological point of view, the study assumes that organisational reality is not a single objective entity that can be fully captured independently of those who experience it. Instead, it treats organisational practices such as “digitalisation strategy” or “competing with Amazon and Zalando” as phenomena that are experienced and constructed through interaction, organisational routines, and market context. This implies that different managers, even within similar firms, may interpret digitalisation priorities and competitive pressures differently based on their roles, past experiences, and their understanding of what matters for international performance (Saunders et al., 2023). From an epistemological point of view, the study assumes that knowledge about these issues is produced through interpretation. The researcher does not simply discover facts that exist independently from participants. Instead, knowledge is developed by analysing how managers describe their actions and constraints, and by interpreting these accounts in light of the study’s conceptual framework. This is particularly relevant because the thesis focuses on strategic and managerial processes that are partly tacit and embedded in routines, such as how firms decide between investing in SEO, paid social, marketplace participation, customer service tools, or logistics related digital solutions. To capture such processes, the study relies on qualitative insights and on the idea that interview material provides contextual knowledge about how participants understand and organise their work (Brinkmann, 2022).

Overall, the interpretivist perspective supports the ambition of the thesis to develop an in depth understanding of digitalisation as a strategic and organisational phenomenon in Swedish e-commerce SMEs, rather than treating it as a purely technical adoption issue or a universal recipe for competitiveness (Saunders et al., 2023).

3.2 Research approach

Our study aims to follow an abductive research approach. In business research, three logics are usually discussed. The first one is a deductive approach, which usually stays from theory, develops hypotheses, and then collects data to test whether the hypotheses hold. The second is an inductive approach, which moves in the opposite direction, starting from empirical observations and building theory from patterns that emerge from the data. Abduction differs from both in that it involves an iterative movement between theory and data, where existing concepts guide the research, but empirical observations can lead to refinement, extension, or rethinking of theoretical explanations (Saunders et al., 2023). In our view, abduction is the most relevant to this thesis for the following reasons.

First, the study is grounded in established research streams on SME resource constraints, digitalisation initiatives, e-commerce internationalisation, and competition with large online retailers. This theoretical basis helps define what to focus on during data collection, for example digital marketing choices, platform and channel strategies, customer relationship tools, and digital practices linked to logistics and fulfilment. Second, the thesis is exploratory in the sense that it seeks to understand how these elements are combined in practice within Swedish e commerce SMEs. The study therefore needs to remain open to findings that do not fit neatly into the initial conceptual framework, such as unexpected trade offs, unplanned experimentation, or forms of dependency created by relying on third party platforms. Abductive research treats such empirical “surprises” as a source of theoretical development rather than as anomalies to be ignored (van Hulst and Visser, 2025).

In practice, the abductive approach permits shaping both data collection and analysis. The interview guide will be informed by theory and the conceptual framework, ensuring that the key themes are covered consistently across the different cases (van Hulst and Visser, 2025). At the same time, the semi-structured interview format does permit participants to introduce issues that the researchers may not have anticipated beforehand. During the analysis, the abductive logic will be reflected by combining concept driven coding, based on the conceptual framework, with openness to emergent themes that arise from the empirical material (Saunders et al., 2023).

3.3 Research design

This thesis uses a qualitative multiple case study design. The research question focuses on how Swedish e commerce SMEs leverage digitalisation to overcome resource constraints and

compete with larger international online retailers in domestic and foreign markets. This question is process oriented and context dependent. It concerns how managers prioritise digital initiatives, how these initiatives are implemented and combined, and how firms respond to competitive pressure from larger actors. Such questions are well suited to qualitative research, because qualitative designs enable the study of meaning, decision making, and organisational practices in depth, rather than reducing them to simplified indicators (Saunders et al., 2023).

A case study design is relevant when the phenomenon under investigation is deeply intertwined with its real world context. In this thesis, "digitalisation" cannot be separated from the conditions in which it occurs. The perceived value of digital tools depends on the firm's resource constraints, its capabilities, competitive positioning, and the characteristics of the international markets it targets.

3.4 Selection of cases and samples

The case companies in this thesis were selected through purposive sampling. This sampling method was considered appropriate because the aim of the study is not to produce a statistically representative sample of all Swedish SMEs. Instead, the purpose is to select information-rich cases that are directly relevant to the research question and that can provide insight into how Swedish e-commerce SMEs use digitalisation to overcome resource constraints and compete with larger international online retailers in domestic and foreign markets. In qualitative research, purposive sampling is suitable when cases or participants are chosen because they have specific characteristics, knowledge or experience that are relevant to the phenomenon being studied (Saunders et al., 2023). The unit of analysis in this study is the firm. More specifically, the study focuses on Swedish small and medium-sized enterprises operating in business-to-consumer e-commerce. This focus was chosen because the research question is concerned with how smaller online retailers use digital tools and strategies in consumer-facing markets where customer experience, trust, digital marketing, delivery expectations and online service are central parts of competition. Purely business-to-business firms were therefore excluded, since their customer relationships, sales processes and digitalisation needs may differ significantly from those of consumer-facing e-commerce companies.

The study is also delimited to Swedish SMEs. This geographical focus was chosen because Sweden represents a relevant context for studying e-commerce SMEs due to its digitally mature market, high level of online shopping and strong digital infrastructure. At the same time, Swedish SMEs operate from a relatively small domestic market, which makes foreign markets

and international online sales important opportunities. Focusing on Swedish firms also creates a more coherent empirical setting, instead of mixing companies from different national contexts where differences in infrastructure, regulations, consumer behaviour and platform use could make comparison more difficult. To be included in the study, companies had to meet several criteria. First, they had to fit the general definition of an SME, meaning that they were not large corporations and remained within the European Commission's definition of SMEs as firms with fewer than 250 employees and within the relevant turnover or balance sheet thresholds (European Commission, 2003). Second, they had to operate in e-commerce, either through their own webshop, online platforms, marketplaces or a combination of online and offline sales channels. Third, they had to be business-to-consumer firms, meaning that their products were mainly sold to individual customers rather than only to other businesses. Fourth, they had to show some form of international orientation, either by selling abroad, shipping internationally, targeting foreign customers or expressing ambitions to grow outside Sweden. Finally, the companies had to provide access to an interviewee with relevant knowledge of the firm's e-commerce activities, digital tools, market strategy or international operations.

The final sample consists of eight Swedish e-commerce SMEs: Gents, Nordlys Viking, Steamery, Himalayan Wool, Know to Glow, Wyde Footwear, Les Enfants and Fine Little Day. These companies were selected because they all fit the focus of the thesis while also offering variation in product category, business model, digital maturity and international activity. The sample includes companies operating in grooming and beauty, Viking-inspired niche products, clothing care, wool clothing, skincare, footwear, children's products and interior/design products. This variation is useful because it allows the study to compare how different types of SMEs experience similar challenges, such as limited resources, digital channel choices, platform dependence, foreign market activity and competition from larger online retailers. The number of cases was suitable for a qualitative multiple case study. The purpose of the thesis is not statistical generalisation, but analytical generalisation through comparison across cases. A single case would have allowed deeper insight into one company, but it would have limited the possibility of identifying patterns across different types of Swedish e-commerce SMEs. By including eight companies, the study can compare similarities and differences between firms while still keeping the empirical focus manageable. Multiple case study logic is appropriate when the aim is to identify recurring patterns across cases while still preserving the specific context of each case (Yin, 2018; Eisenhardt, 2021). The eight companies also differ in their degree of internationalisation, which strengthens the sample. Some firms, such as Steamery and Wyde Footwear, have already developed a clear international presence. Others, such as Himalayan Wool and Fine Little Day, show more organic international activity through foreign customers, tourism, online visibility or word of mouth. Companies such as Gents and Nordlys Viking show the difference between being able to sell or ship internationally and actively investing resources

in selected foreign markets. This variation supports the aim of the study because it makes it possible to analyse internationalisation as a process shaped by resources, market priorities and organisational maturity, rather than as one identical process for all SMEs.

The interviewees were also selected purposively. The study aimed to interview people with direct knowledge of the company's digitalisation, e-commerce operations, customer channels, market priorities and competitive position. In several cases, the respondents were CEOs, founders, co-founders or co-owners. In one case, the respondent held a senior role directly connected to DTC growth and e-commerce. This focus on CEOs, founders and senior decision-makers was important because the research question concerns strategic choices, not only daily operational tasks. These respondents were expected to have broad knowledge of the firm's resources, constraints, digital investments, customer strategy and international ambitions. However, the study did not require all respondents to be CEOs specifically. The key criterion was that each respondent had sufficient knowledge to answer questions about digitalisation, resource constraints and competition. Some types of firms were excluded from the sample. Large companies were excluded because the study focuses on SMEs and resource-constrained firms. Purely B2B firms were excluded because the thesis focuses on consumer-facing e-commerce. Offline-only retailers were excluded because the research question concerns digitalisation and online retail. Large marketplace operators such as Amazon or Zalando were also excluded because they represent the larger competitive actors rather than the SMEs being studied. Firms without any international activity or international ambition were also considered less relevant, since the research question specifically concerns competition in domestic and foreign markets.

Overall, the sampling strategy was designed to create a focused but varied sample of Swedish B2C e-commerce SMEs. The eight cases provide enough variation to support cross-case comparison, while remaining coherent enough to address the same research question across all companies. This makes the sample suitable for exploring how Swedish e-commerce SMEs leverage digitalisation to manage resource constraints and compete internationally.

3.5 Data collection

The empirical data for our thesis was collected through semi structured interviews with different representatives of Swedish e-commerce SMEs, with the addition of secondary data from publicly available sources. This approach was chosen because the study aims to understand how Swedish e-commerce SMEs leverage digitalisation to manage resource constraints and compete with larger international online retailers in domestic and foreign markets. Since our research questions

focus on managerial interpretations, strategic choices, and organisational practices, semi-structured interviews are the most appropriate. This format allows us researchers to follow a common interview guide across cases while at the same time giving interviewees the chance to elaborate on issues proper to their companies, role, experience, or market position (Saunders et al., 2023). Semi-structured interviewing is suitable when the aim is to explore how participants make sense of complex organisational phenomena, since it permits both comparability between interviews and flexibility for follow-up questions (Brinkmann, 2022). The primary data represents the interviews with the different representatives from 8 e-commerce Swedish SMEs which are: Gents, Nordlys Viking, Steamery, Himalayan Wool, Know to Glow, Wyde Footwear, Les Enfants, and Fine Little Day. Those companies were chosen since they all operate in e-commerce and are relevant to the thesis focus on digitalisation, internationalisation, and competition with larger online retailers. They are all different when it comes to product offering, business model, or digital maturity, supporting the logic of a multiple case study design by comparing across different contexts of organisation and by permitting the researchers to identify recurring phenomena and case-specific differences (Eisenhardt, 2021). The inclusion of 8 companies permits a broader empirical foundation than a single-case design and allows the researcher to explore whether similar organisational patterns appear within different types of Swedish e-commerce SMEs.

The selected participants have been chosen due to their knowledge of the companies' e-commerce operations, market activities, resources constraints, strategic positioning and digital tools. The interviewees were founders, co-founders, or managers with direct responsibility for marketing, international sales, operational decision making, or e-commerce. This allowed us to exchange with individuals who not only discussed which digital tools were used, but also why some specific tools and strategies were prioritised over others. We treated them as knowledgeable organisational informants rather than random representatives of their firms. This aligns mostly with qualitative research norms, in which participants are selected based on their relevance to the research question and their ability to provide contextualised insight (Saunders et al., 2023). The interviews were conducted between the 24th of April until the 30th of April. The format of the interviews was mainly online, through Google Meet and Teams meetings, depending on the availability and preference of the participants. The interviews lasted approximately 30 to 55 minutes, with variation depending on the respondent's availability and the depth of the discussion. The interviews were conducted in English.

Before each interview, the participants were informed about the purpose of the study, the academic nature of the research, and how the data would be used. They were also informed that participation was voluntary and that they could decline to answer any question or withdraw from

the interview. With the consent of the participants, the interviews were all recorded and later transcribed for analysis. Transcription was important because it allowed us, the researchers, to engage closely with the empirical material and to code the interviews systematically. In qualitative research, transcription is not only a technical step but also part of the analytical process, because repeated reading of the material helps the researchers become familiar with patterns, meanings, and recurring themes (Braun and Clarke, 2021). The transcripts were stored securely and were used only for the purpose of the thesis. The full transcripts are not included in the final thesis, while the interview guide is included as an appendix.

The interviews followed a semi-structured interview guide developed from the conceptual framework of the thesis. The guide included questions on company background, the role of e-commerce, international markets, resource constraints, digital tools and channels, external platforms, customer experience, competition with larger online retailers, and strategic responses to limited resources. The guide was designed to begin with broader questions about the company and the respondent's role before moving into more specific questions about digitalisation, internationalisation, and competition. This structure helped create a natural flow in the interviews and allowed respondents to first explain their organisational context before reflecting on more strategic and analytical issues. Follow-up questions were used when participants gave short answers, introduced new topics, or mentioned issues that were particularly relevant to the research question. This flexibility is one of the main advantages of semi-structured interviews, as it allows the researchers to explore unanticipated insights while still maintaining a consistent thematic structure across cases (Brinkmann, 2022; Saunders et al., 2023).

The interview guide was also designed to capture both descriptive and interpretive data. For example, respondents were asked to describe which digital tools or channels they used, but also to explain why certain tools were prioritised, how they measured their effectiveness, and whether they had to abandon or postpone certain initiatives because of limited resources. Similarly, questions about competition with large actors such as Amazon, Zalando, Temu, or Shein were not only used to identify competitors, but also to understand how the respondents perceived the effects of these actors on customer expectations, price pressure, delivery standards, platform dependence, and digital marketing decisions. This approach helped ensure that the interviews produced data relevant to both the empirical findings chapter and the later analysis/discussion chapter.

In addition to primary interview data, secondary data was collected to contextualise the cases and support triangulation. Secondary sources included company websites, online stores, product pages, "about us" sections, information about shipping and international delivery, social media

channels, marketplace presence where relevant, and other publicly available company information. These materials were used to develop a better understanding of each company's digital presence, product positioning, customer interface, and international orientation. For example, company websites and webshops helped the researchers observe how firms presented their products, communicated trust, displayed delivery information, and adapted their online offering to customers. Social media channels were useful for understanding how firms attempted to attract customers, build communities, communicate brand identity, or support digital marketing activities.

The secondary data did not replace the interviews, but it helped the researchers interpret and compare the interview material. In qualitative case study research, using multiple sources of evidence can strengthen the credibility of the research because it allows the researcher to compare interview statements with other forms of empirical material (Yin, 2018). In this thesis, secondary data was particularly useful for verifying basic company information, understanding the firms' visible digital activities, and preparing more informed interview questions. It also supported the analysis by providing contextual details about each company's market positioning and digital customer interface. However, the main empirical focus remained on the interviews, since the research question is primarily concerned with how managers and company representatives understand and use digitalisation strategically.

An overview of the interviews is presented in Table 3.1.

Table 3.5.1 Interviews

Case company	**Sector/product category**	**Interviewee role**	**Format**	**Duration**	**Language**	**Recording/transcription**
Gents	Men's grooming, perfume and beauty products	CEO	Online (Google Meet)	31 Minutes	English	Recorded and Transcribed
Nordlys Viking	Viking-inspired niche products	Co-founder	Online (Google Meet)	50 Minutes	English	Recorded and Transcribed

Steamery	Clothing care products	Senior DTC Growth Specialist	Online (Zoom)	32 Minutes	English	Recorded and Transcribed
Himalayan Wool	Wool clothing and related products	Co-owner	Online (Google Meet)	35 Minutes	English	Recorded and Transcribed
Know to Glow	Skincare and beauty products	CEO	Online (Google Meet)	30 Minutes	English	Recorded and Transcribed
Wyde Footwear	Footwear	Founder CEO	Online (Google Meet)	25 Minutes	English	Recorded and Transcribed
Les Enfants	Products for babies	CEO	Online (Google Meet)	33 Minutes	English	Recorded and Transcribed
Fine Little Day	Interior, design and lifestyle products	CEO	Online (Google Meet)	27 Minutes	English	Recorded and Transcribed

3.6 Interview guide

In this thesis, operationalisation was used to create a clear connection between the conceptual framework developed in Chapter 2, the semi-structured interview guide, and the subsequent thematic analysis of the empirical material. The operationalisation of this study was based on the research question: How do Swedish e-commerce SMEs leverage digitalisation to overcome resource constraints and compete with larger international online retailers in domestic and foreign markets? The conceptual framework links three central areas: SME resource constraints, digitalisation initiatives, and international competitive positioning. These areas were translated into interview themes designed to capture how the case companies understand their limitations, which digital tools and channels they use, how they approach foreign markets, and how they

respond to competition from larger firms and platforms. This ensured that the interview guide was not only a practical tool for conversation, but also an extension of the theoretical logic of the thesis.
The interview guide was designed as a semi-structured guide. This means that the same main themes were covered across all interviews, while the exact wording and order of follow-up questions could vary depending on the respondent's answers and the specific company context. Semi-structured interviews are appropriate when researchers seek both comparability across cases and flexibility to explore unexpected issues in depth (Saunders et al., 2023). This was important in the present study because the eight case companies differ in product category, degree of internationalisation, channel strategy and digital maturity. A fully standardised interview format would have risked missing case-specific insights, while a completely unstructured format would have made cross-case comparison more difficult.

The first questions focused on the company background, the respondent's role and the importance of e-commerce in the business model. This helped establish the context of each case and ensured that later answers could be interpreted in relation to the firm's size, product category, channel mix and international orientation. The next part of the guide addressed resource constraints, including financial resources, time, staff, marketing capacity, technical capabilities and logistics. These questions were included because resource scarcity is a central concept in the thesis and is expected to influence how SMEs prioritise digital initiatives.

The following part of the guide focused on digitalisation initiatives. Respondents were asked about digital tools, channels and practices used in their e-commerce activities, including websites, social media, paid advertising, search engines, external platforms, analytics, AI tools, payment systems and customer service solutions. Follow-up questions explored which channels generated traffic or sales, how performance was measured, and whether some tools were more valuable than others. This was important because the study does not treat digitalisation as a vague general concept, but as a set of concrete practices that can be compared across cases. The interview guide also included questions about international markets and cross-border e-commerce. These questions explored how firms use digital channels to reach customers in Sweden and abroad, whether they adapt their strategy depending on the market, and what challenges they experience when serving foreign customers. This theme directly connects digitalisation to internationalisation and helps identify whether firms simply make their webshop available internationally or whether they actively target and adapt to specific foreign markets. Another central theme concerned channel and platform strategy. Respondents were asked how they view selling through external platforms compared with their own website, including the advantages and disadvantages of each option. Follow-up questions explored issues of reach,

control, dependence and customer ownership. This theme was important because large platforms can act both as opportunities and constraints for SMEs. For smaller firms, external platforms may offer visibility and access to customers, but they may also reduce strategic control and increase dependence. The final parts of the interview guide addressed customer experience, differentiation and competition with larger international online retailers. Respondents were asked how they attempt to differentiate themselves, why customers choose them, and how large actors such as Amazon, Zalando, Temu or Shein affect their business. These questions were designed to capture both direct and indirect competitive pressure, including changes in customer expectations regarding price, convenience, delivery speed and service quality. The guide ended with broader reflective questions about how the firms compete despite having fewer resources and what digital challenges they expect SMEs to face in the future.

The operationalisation table below summarises how the main concepts from the conceptual framework were translated into interview themes and later analysis categories. This strengthens the transparency of the study by showing how the interview guide supported the collection of relevant empirical material and how the same categories informed the coding process. In line with thematic analysis, the initial coding was guided by these theoretical themes while still allowing additional patterns to emerge from the interview data (Braun and Clarke, 2021 and Saldaña, 2021).

Table 3.6.1 Operationalisation of the interview guide

Concept from conceptual framework	Interview theme	Example interview question	Link to later analysis
Company context	Business model, role and e-commerce operations	"Can you briefly describe the company, your role, and your e-commerce operations?"	Used to contextualise each case
SME resource constraints	Financial, human, time and capability limitations	"What limitations do you experience when competing with larger firms?"	Used to analyse how constraints shape digital priorities

Prioritisation under scarcity	Trade-offs and abandoned initiatives	“Have you had to choose or prioritise between different initiatives because of these constraints?”	Used to analyse strategic decision-making under limited resources
Digitalisation initiatives	Digital tools, practices and channels	“Which digital tools or practices are most important for you today?”	Used to compare digital practices across cases
Digital performance measurement	Traffic, sales, conversion and ROI	“How do you measure whether digital channels work?”	Used to analyse how SMEs evaluate digital effectiveness
International e-commerce	Reaching Sweden and foreign markets	“How do you use digital channels to reach and attract customers, both in Sweden and internationally?”	Used to analyse internationalisation through digital channels
Channel and platform strategy	Own website versus external platforms	“How do you view selling through external platforms compared to your own website?”	Used to analyse reach, control and platform dependency
Customer experience and differentiation	Service, trust, quality and value proposition	“How do you work with customer experience to differentiate yourselves?”	Used to analyse non-price competition
Competition with larger online retailers	Amazon, Zalando, Temu, Shein and changing expectations	“How do large platforms like Amazon, Temu or Shein affect your business?”	Used to analyse direct and indirect competitive pressure
Strategic response	Competing despite fewer resources	“Is there anything you consciously do differently in order to compete despite having fewer resources?”	Used to answer the research question

3.7 Data analysis

The empirical material was analysed through an abductive thematic analysis.The analysis followed an abductive logic, in line with the research approach described earlier in the methodology chapter. This means that the coding process was informed by the conceptual framework developed in Chapter 2, while still remaining open to new themes emerging from the interview material. A purely deductive analysis would have risked forcing the empirical material into pre-existing theoretical categories, while a purely inductive analysis would have weakened the connection between the findings and the theoretical foundation of the thesis. Instead, the abductive approach allowed the researchers to move back and forth between the literature, the conceptual framework and the empirical data (Saunders at al., 2023). This was particularly important because the interviews generated both expected themes, such as limited marketing budgets and digital channel choices, and more emergent themes, such as the role of AI tools in compensating for limited internal resources.

The first stage of analysis involved preparing the empirical material. The interviews were recorded with consent and then fully transcribed for analysis. Where interviews or parts of interviews were conducted in Swedish, relevant material was translated into English by the researchers. During this process, the researchers aimed to preserve the meaning of the respondents' statements rather than translate word-for-word in a mechanical way. The transcripts were then reviewed several times to improve familiarity with the material. This familiarisation stage is an important part of thematic analysis because it allows the researchers to gain an overview of the data before formal coding begins (Braun and Clarke, 2021). The second stage involved initial coding. Coding refers to the process of identifying and labelling meaningful segments of data that are relevant to the research question (Saldaña, 2021). In this thesis, coding was conducted using Excel. The first round of coding was concept-driven and based on the conceptual framework and interview guide. Initial categories included resource constraints, digital tools and channels, internationalisation, platform strategy, customer experience, competition with larger online retailers, and strategic responses. These categories provided structure and ensured that the analysis remained connected to the purpose of the study.

The third stage consisted of grouping codes into broader themes. Codes related to Google, Meta, Shopify, AI, analytics, social media and digital advertising were grouped under digital tools and practices. Other broader themes included internationalisation and market prioritisation, platform and channel strategy, customer experience and differentiation, and competition with larger online retailers. These themes were selected because they directly reflect the research question and provide a structure for presenting the empirical findings in Chapter 4.

The fourth stage involved within-case analysis. Each case company was first analysed separately in order to understand its specific context, business model, digital practices, international orientation and competitive position. This step was important because the eight companies differ in terms of product category, size, international activity and digital maturity. For example, the digital challenges of a company primarily using its own web shop may differ from those of a company relying more heavily on wholesale, marketplaces or physical sales alongside e-commerce. Analysing each case individually helped avoid treating all SMEs as identical and allowed the researchers to preserve important contextual details. The fifth stage involved cross-case analysis. After each company had been analysed individually, the researchers compared the cases to identify similarities, differences and recurring patterns. Cross-case comparison is important in multiple case study research because it strengthens the analytical value of the study and supports the development of more general insights across cases (Yin, 2018 and Eisenhardt, 2021). In this thesis, cross-case analysis made it possible to compare how different firms experienced resource constraints, which digital tools they prioritised, how they approached competing in domestic and foreign markets, and how they responded to large competitors such as Amazon, Zalando, Temu and Shein. This stage also helped identify variation between companies that viewed large platforms as direct competitors and companies that saw them mainly as indirect sources of changing customer expectations.

The sixth stage connected the empirical themes back to the literature and conceptual framework. The purpose of this step was to prepare the transition from empirical findings to analysis and discussion. Chapter 4 presents the themes mainly descriptively, showing what the interviewees said and how the cases compare. Chapter 5 then interprets these findings in relation to previous research on SME resource constraints, digitalisation, e-commerce internationalisation and competition with large online retailers. This separation was important in order to avoid mixing empirical presentation with theoretical interpretation too early. It also follows the logic that the discussion chapter should connect empirical findings to the theoretical framework rather than introduce entirely new empirical material. To strengthen the credibility of the analysis, the researchers compared interpretations during the coding and theme development process. Where interpretations differed, the relevant transcript sections were revisited and discussed until an agreed interpretation was reached. Secondary data, such as company websites, online stores, social media channels and public company information, was also used to contextualise the interviews and support interpretation. However, the interview material remained the main empirical source because the research question focuses on managerial perceptions, strategic choices and organisational practices.

Overall, the data analysis process was designed to move systematically from raw interview material to meaningful themes and then to theoretical interpretation. By combining

concept-driven and data-driven coding, within-case and cross-case analysis, and an abductive movement between theory and empirical material, the analysis aimed to provide a rich and credible understanding of how Swedish e-commerce SMEs leverage digitalisation to compete internationally under resource constraints.

3.8 Quality of the research

Because this study adopts an interpretivist perspective and a qualitative multiple case design, research quality is addressed through criteria commonly associated with trustworthiness, including credibility, transferability, dependability, and confirmability (Stahl and King, 2020; Ahmed, 2024). The purpose is to ensure that the findings are well supported by evidence, transparently produced, and useful beyond the immediate cases through analytical insight.

Credibility

Credibility concerns whether the findings are plausible and well supported by the data. Several strategies will be used. First, triangulation will be applied by combining interview material with secondary sources such as websites, platform presence, and documents, which can corroborate or contextualise participants' claims (Saunders et al., 2023; Stahl and King, 2020). Second, the study aims, where possible, to include more than one informant per company, which reduces the risk of relying on a single perspective and improves the depth of understanding of each firm's digitalisation practices. Third, the researchers will use systematic coding and theme development procedures, supported by memo writing and transparent documentation of analytic choices, to ensure that interpretations remain grounded in empirical material (Braun and Clarke, 2021; Saldaña, 2021). If feasible within time constraints, brief follow-up questions or clarifications may be used to confirm that key interpretations align with what participants intended to convey, which can strengthen credibility (Stahl and King, 2020).

Transferability

Transferability refers to the extent to which the findings can be useful in other contexts. Qualitative case studies do not aim for statistical generalisation, but they can support analytical generalisation by producing concepts and explanations that may be relevant to similar contexts (Saunders et al., 2023). To support transferability, the thesis will provide clear descriptions of the case companies' characteristics, the competitive context, and the digitalisation initiatives studied. This "thick description" helps readers assess whether the insights are relevant to other

e-commerce SMEs operating under comparable conditions (Ahmed, 2024; Stahl and King, 2020).

Dependability

Dependability concerns whether the research process is logical, traceable, and documented. The study will maintain an audit trail that records methodological decisions, sampling criteria, interview procedures, and key steps in the analysis. This includes versioned interview guides, documentation of changes in coding, and records of how themes were developed and refined (Saldaña, 2021; Saunders et al., 2023). Such documentation supports transparency and helps demonstrate that results were produced through a systematic process rather than ad hoc interpretation.

Confirmability and reflexivity

Confirmability relates to whether findings are grounded in the data rather than shaped by researcher preferences. The study will address this by using direct quotations when presenting results and by explicitly linking interpretations to evidence from interviews and secondary material. In addition, reflexive notes will be kept to record assumptions, expectations, and potential biases during data collection and analysis, which is particularly important in interpretive research where the researcher is part of the knowledge production process (Braun and Clarke, 2021; Stahl and King, 2020). Joint review of codes and themes by the authors will also be used to challenge interpretations and reduce the risk of one-sided conclusions.

3.9 Research ethics

The study follows established ethical principles in social science research, including informed consent, voluntary participation, confidentiality, and responsible handling of personal data. Since the empirical material will primarily consist of interviews with adult professionals about business practices, the ethical focus is on respecting participants' autonomy and ensuring compliance with Swedish and EU data protection requirements (IMY, 2024; European Union, 2016).

Informed consent and voluntary participation

Before each interview, participants will receive clear information about the purpose of the study, what participation involves, how the data will be used, and the fact that participation is voluntary. Participants will be informed that they can decline to answer specific questions and that they

may withdraw from the study at any time without negative consequences. Consent will be obtained before recording interviews (Saunders et al., 2023).

Confidentiality and anonymity

To protect participants, interviewees will be anonymised in the thesis using role-based identifiers such as "Marketing manager, Company A" or "Founder, Company B". Whether company names are disclosed will depend on the preferences of each firm. If requested, companies will be anonymised using pseudonyms. Any identifying details that are not necessary for analysis will be removed from transcripts and notes. These steps reduce the risk of linking specific statements to identifiable individuals or organisations (IMY, 2024).

Data protection and GDPR compliance

The study will comply with the EU General Data Protection Regulation, including principles of data minimisation, purpose limitation, and secure processing of personal data (European Union, 2016). Audio recordings and transcripts will be stored securely with restricted access and will be retained only for as long as necessary to complete the thesis and meet university requirements. Personal data will not be shared outside the research team. Guidance from the Swedish Authority for Privacy Protection will be followed to ensure appropriate handling of personal data in a research setting (IMY, 2024).

Ethical review considerations

The researchers will consider whether any part of the study requires formal ethical review under Swedish standards. Even when formal ethical review is not required for student research of this type, the study will still follow the principles of good research practice and careful handling of participant information as described in Swedish research ethics guidance (Etikprövningsmyndigheten, 2024; Swedish Research Council, 2024).

3.10 Authors Contribution

This thesis is co-authored by Emil Hofdam and David Tete. During the progression of this study we maintained a smooth collaboration based on mutual trust and respect stemming from our equally crucial contributions and commitment towards the work. Both authors were active and passionate throughout the entire process. Important decisions were discussed properly and both authors have contributed equally to the study.

4. Empirical findings

The chapter presents the empirical findings from the interviews with 8 Swedish e-commerce SMEs included in the study. The findings are organised around the main themes that emerged from the data, including resource constraints, digital marketing strategies, customer value, internationalisation, competition with larger online retailers and differentiation strategies. The chapter focuses mainly on presenting what the interviews described, supported by illustrative quotations and examples from the case companies.

4.1 Case company overview

This section introduces the empirical findings from 8 case companies in the paper. The Table 4.1 provides an overview of the companies, their product categories, their e-commerce role and their activity on the international market. The aim is to give a clearer understanding of the empirical sample and to show that the cases differ in terms of sector, size, digital maturity and international orientation. Here, the thesis does not only study one single type of e-commerce SME, but several Swedish SMEs operating in different consumer-facing markets. The cases include companies operating in grooming and beauty, Viking-inspired niche products, clothing care, wool clothing, skincare, footwear, children's products and interior design.

4.1.1 Overview of the case companies

Company	Sector	E-commerce role	International activity
Gents	Men's grooming/perfume	E-commerce around 70% of business	Sweden, Norway, Scandinavia, Germany, Denmark, France, Finland/worldwide shipping
Nordlys Viking	Viking/niche products	E-commerce around 60-70% of retail sales	Ships to many countries, main ad focus Sweden

Steamery	Clothing care	DTC e-commerce and marketplaces almost half of turnover	Sells to 77 countries
Himalayan Wool	Wool clothing	Webshop as complement to markets	US, Australia, Canada, Europe
Know to Glow	Skincare	B2B/B2C platform and wholesale	Mainly Sweden for now
Wyde Footwear	Footwear	Own e-commerce focus	Sold to 65+ countries
Les Enfants	Children's sustainable products	Shopify webshop plus resellers	Sweden, Norway, growing US interest
Fine Little Day	Interior/design	Most sales through online store	Sweden, US, Northern Europe

The table above also shows that e-commerce plays an important role in all cases, even if the extent is different between companies. For some cases, such as Gents, Nordlys Viking, Wyde Footwear and Fine Little Day, e-commerce represents a central sales channel. While for others, such as Himalayan Wool, the webshop functions more as a complement to physical markets, while still enabling international orders. Steamery, Les Enfants and Know to Glow also show that e-commerce is often combined with wholesale, resellers, or marketplace. This variation is useful for the analysis as it makes it possible to compare how different SMEs use digitalisation based on their business model and available resources.

4.2 Resource Constraints and Strategic Prioritisation

Across all eight case companies for our study, resource constraints emerged as a fundamental condition and concern that shaped the daily operations and the strategic decision-making of the SMEs in our study. Dethine et al. (2020) highlights that SMEs often face challenges related to financial resources, managerial capacity, technological expertise and market knowledge, which can affect how they compete and expand on the international scene. These constraints are far wider than solely financial capital since it also includes significant strides regarding key matters

such as time, human resources, and technological capabilities (Bargoni et al., 2024). Compared to the larger e-commerce actors that SMEs compete against, SMEs have access to far fewer resources. This means that any mismanaged resources will have a far more negative impact on an SME compared to the impact it would have on a larger competitor, this makes clear strategic orientation and careful assessments regarding what the priorities of the organisation should be far more important for SMEs which necessitates careful prioritisation and strategic focus as a way to overcome or at least mitigate the constraints formed by resource constraints.

All the 8 business professionals that we interviewed emphasized the importance of efficiently allocating resources. A good prominent example is our interview with Fine Little Day. They highlighted that since they only have seven employees and conduct every aspect of their business in-house, each and every single decision regarding how they invest their time and resources must be evaluated with great care during the decision-making process due to the small margin they have for any potential error or mistake. In a similar manner, Himalayan Wool conducts their business operations with minimal staffing, where a singular individual is in charge of the management of multiple key functions of the business, this includes logistics, customer service, and sales. The inevitable result of this is that the normal essential operations are given priority, which sadly leads to more complex and time consuming initiatives such as advanced in/depth analytics or the possibility of multi-channel expansion are deprioritized. In the long term these neglected initiatives may be what would allow the business to expand and thrive.

The issue of time constraints were repeatedly identified by the 8 interviewees as equally critical as financial limitations. For example, Himalayan Wool actively avoids expanding into additional sales channels due to the operational complexity involved despite being convinced that it would be beneficial for them to do so, while Les Enfants on the other hand pointed out that content creation and digital marketing require significant time investments that are difficult to sustain for a long period of time when you have a small team at your disposal dedicated towards the creation of content. These findings clearly highlight a strong indication that SMEs must not only decide *what* to invest in, but also *what to deliberately exclude* from their priorities. *"We put most of our marketing money, if not more or less everything, into trying to get a hold on the Swedish market, even though we can see that we have great opportunities in other countries."*

(Interview, Nordlys Viking Co-founder)

However, it should be noted that the findings also highlight that resource constraints are not a constant and unchanging dilemma, resource constraints vary significantly depending on the maturity of the firm. Companies such as Gents AB and Nordlys Viking Company are good examples of SMEs that represent more mature SMEs, their central challenge shifts from mere

survival towards the challenge of how to optimize the operations of the business towards scaling. In these more mature SME cases, resource constraints are more related to the coordination, efficiency, and strategic alignment of the business instead of the typical lack of resources that smaller SMEs have to contend with. *"If you can't spend five to ten thousand euro a month in a country, it doesn't really matter. That's the minimum to be seen."*

(Interview, Nordlys Viking Co-founder)

In spite of these constraints and limitations that hinder their ambitions, SMEs consistently demonstrate an impressive resourcefulness along with a remarkable ability to adapt when needed. As noted by Wyde Footwear, it is essential for smaller firms to be "very resourceful and creative with the means they have." The result of this is often detailed and focused strategies centered around collecting data and giving priority to the most efficient sales channel or limiting product assortment, in order to maximize impact and result of the business. *"You have to be very resourceful and creative with the means you have."*

(Interview, Wyde Footwear Founder/CEO)

Furthermore, it should be noted that the representatives of our case firms emphasized the need for a strategy focused on the long-term rather than the short term. The skin care SME Know to Glow for example, avoids engaging in costly marketing strategies on purpose, instead they direct their focus towards building their brand image and brand positioning gradually through cost effective wholesale partnerships in combination with building and nurturing customer relationships. In a similar manner Steamery points out the importance of proper coordination across the different multiple channels to ensure a sustainable healthy growth over the alternative of focusing short-term gains.

In conclusion, resource constraints play an active and central role when it comes to shaping the strategies employed by SMEs. However, it is important to realize that rather than acting solely as barriers, these constraints serve as a driving mechanism towards strategic decision making that is focused, efficient, and long-term oriented which enable SMEs to thrive in competition with larger companies.

4.3 Digital Marketing Strategies and Channel Effectiveness

Our findings from the conducted interviews reveal that SMEs of different sizes and across various niches adopt diverse and highly selective digital marketing strategies tailored toward

their own unique brand image, positioning and goals. This reflects differences in resources, product characteristics, and organisational maturity. Some SMEs focus on performance marketing, others choose to prioritize organic growth through owned channels instead, the result of this is a spectrum of differing approaches to analyze. Verhoef et al., (2021) define digitalisation as a larger organisation process in which digital technologies reshape business activities, value creation and strategic responses.

Performance marketing is a particularly popular method if you look at more growth/oriented SMEs. Steamery is a good example of a mature SME that relies heavily on paid advertising, especially through digital channels like Meta and Google, while distinguishing between awareness-building channels (e.g., Meta, TikTok, Pinterest) and conversion-focused channels (e.g., Google search).At the same time, Wyde Footwear clearly identified Meta as its most by far most effective channel for generating sales due to the strong alignment that exists between the platform and the target demographic of Wyde Footwear. These findings clearly suggest that there is a link between having effective performance marketing while simultaneously being supported by healthy margins and a clear understanding of the customer journey, what the customer wants and what the customer is actually searching for.

Numerous companies in our study reported limited success with their paid advertising initiatives. Les Enfants highlighted that it is difficult to communicate product quality, such as softness, through the use of digital ads, which in turn resulted in low conversion rates and therefore poor returns on their investments in digital ads. As a result of this, the company made the decision to shift its focus toward more organic marketing strategies, this includes influencer exposure and in particular user-generated content. Fine Little Day similarly emphasized the need to generate organic traffic that is driven by long-term brand presence, image, search engine optimisation (SEO), and direct customer engagement. *“I do everything with AI right now.”*

(Interview, Nordlys Viking Co-founder)

“In e-commerce, you have your team at your fingertips. So that’s a huge equalizer.”

(Interview, Nordlys Viking Co-founder)

Collaborating with influencers for marketing purposes, particularly in its organic form, emerged as a critical driver for visibility and trust. Les Enfants was able to leverage this towards significant growth through unpaid endorsements from influencers such as Michaela Forni and Kenza Zouiten Subosic. These endorsements were positively perceived as more authentic, credible and trustworthy than the usual paid collaborations since the influencers in question did

not receive any compensation for their strong endorsements for their products, this clearly highlights the importance of trust in digital marketing for efficiency.

Furthermore, it is crucial to recognize that owned channels play a key role across all case companies. Fine Little Day and Gents AB emphasized the importance of not neglecting email marketing, direct website traffic, and brand recognition, while Know to Glow on the other hand instead highlighted the importance of a direct approach towards how to interact with customers as a core part of its marketing strategy and brand identity.. This allows SMEs to not only reduce their dependency on external platforms but it also plays a pivotal role in forming stronger relationships with their customers. *"I want that human-to-human interaction, not market platforms."*

(Interview, Know to Glow CEO)

The OECD (2026) recent researches also report that AI is becoming more and more relevant for SMEs, although adoption of it depends on skills and mostly organisational capacity. Our findings also implies that there is a trend towards an increase of digital sophistication among larger SMEs. SMEs like Gents AB and Nordlys Viking for example demonstrate a far more balanced and structured approach to their marketing endeavors, through the combining of SEO, paid advertising, and customer data analysis. This clearly suggests that as an SME grows, they are more likely to adopt strategies centered around multiple channels and data-driven strategies, which gradually leads to them starting to resemble larger organisations when it comes to marketing practices.

At last, the significance of creating engaging content and having effective storytelling is evident across multiple cases. SMEs use leveraged content as a method of increasing SEO, differentiate themselves from competitors and clearly outline their brand values. This is of extra importance for SMEs that use authenticity as a key competitive advantage.

In conclusion, SME digital marketing strategies are characterized by their overall alignment with the present internal capabilities and their adaptability to conditions that often evolve quickly. While performance marketing can be an effective tool it is important to keep in mind that many SMEs are able to succeed due to patient organic growth in combination with authentic communication and a heavy reliance on their owned channels.

4.4 Customer Value, Differentiation, and Competitive Advantage

A consistent finding across all eight case companies included in our study is that SMEs do not try to compete with larger actors on price or scale since they are realistic about the futility of trying. Instead, they direct their attention towards the focus on creating and communicating unique customer value that larger retailers like Temu, Shein and Amazon can not match, this constitutes as the foundation of their competitive advantage that allows them to build profitable businesses. Zhang et al. (2025) also suggest that digital platforms can support SMEs internationalisation by providing access to customers and market knowledge for example. On the other hand, that can also create dependency and reduce control for the firms.

Product differentiation plays a key role in this strategy. Most of our case firms emphasized the importance of offering unique, high-quality products that address specific customer needs and how specifically their product or products achieve that. A good example is Les Enfants and their commitment towards premium, sustainable baby products, while Himalayan Wool offers warm authentic and high quality wool garments. Wyde Footwear differentiates themselves through the use of biomechanical expertise that their organisation possesses due to their founder, this allows them to create well designed shoes for the improvement of the physical well-being of their customers which gives them a strong brand identity. . These approaches are geared towards enabling SMEs to occupy certain distinct niche**s** that are less vulnerable to price competition and allow them to set themselves apart from other options that are available for the consumers. *"If people find our products, they will realize that we have the higher quality."*

(Interview, Himalayan Wool Representative)

Brand authenticity and trust are of equal importance. Know to Glow, for example, creates its competitive advantage based on personal interactions and a transparent approach towards customer service. Positioning itself as the trustworthy high quality alternative to large well established, impersonal online platforms. In a similar manner, Fine Little Day leverages their small organisational size towards the creation of a strong and authentic brand identity that increases trust among potential consumers and is difficult for other brands to emulate. This emphasis on authenticity is what allows SMEs to establish a deeper connection with their customers, which can translate into long-term loyalty which increases revenue exponentially.

Customer experience is another potential key differentiator that could set an SME apart from competitors in a positive manner and therefore it should not be ignored, belittled or dismissed. SMEs often utilize customer service as a tool towards the improvement of the customer's experience as a manner of compensating for limitations stemming from resource constraints by

providing unique and personalized tailored service. Himalayan Wool, for example, prioritizes customer satisfaction to the extent that they allow customers to keep items that are incorrect while also at the same time sending them replacements. Know to Glow similarly emphasizes a proactive philosophy towards customer support and personalized recommendations geared towards enhancing the overall customer experience of their customers. *"I want that human-to-human interaction, not market platforms."*

(Interview, Know to Glow CEO)

Importantly, our findings implies that customers are not always primarily driven by price considerations. Instead, it is often the case that they seek effective solutions to specific problems or needs that they have. Wyde Footwear is a good example of an SME that understands the wants and needs of their customers. They prioritize improved comfort and health, while Les Enfants emphasizes the safety, comfort and high quality of their products as safe and cozy for babies. This shift from price to value is what enables SMEs to compete effectively against large online retailers despite higher price points and far less resources at their disposal.

The emerging large low-cost platforms such as Temu and Shein have influenced the competitive landscape significantly. However, it is important to note that even though these firms offer incredibly low prices, several firms have made the observation that declining quality and the trust issues that follows as a direct result of poor quality have led some consumers to turn away from these cheap items and direct their attention towards more reliable options even if these options cost more. As a result, SMEs can benefit indirectly by emphasizing key aspects customers value such as quality, transparency, and trustworthiness.

Finally, it is important to keep in mind that differentiation strategies are not fixed; they vary greatly depending on the maturity, positioning and niche of the firm in question. While smaller SMEs such as Himalayan Wool rely primarily on authenticity and a strong niche appeal, more mature well established SMEs such as Gents AB and Nordlys Viking compete through **c**urated assortments, brand authority, and operational efficiency. This highlights that differentiation is not static but constantly evolving as firms seek to grow and develop.

In summary, our findings clearly indicate that SMEs achieve competitive advantage through the use of value-based differentiation, authenticity, and customer-centric strategies designed to properly ensure that their targeted customer segment is intrigued. By placing their focus on quality, trust, and specialisation rather than price and scale, they are able to establish favorable and long term sustainable competitive positions in highly competitive e-commerce markets that are only becoming even more competitive going forward.

4.5 Internationalisation and foreign markets

After conducting the interviews, internationalisation appeared as an important but unconstant process among the case companies. Most of the firms were not only limited to Sweden, but the degree of their international activity was significantly different from one another. Some companies had a clearer and more active international strategy, while others sold abroad through existing demand, tourism, resellers, or digital viability. A common finding was also that e-commerce made international sales technically possible, but the limitation of resources would shape how actively firms could develop in foreign markets. Temouri et al. (2025) highlight how e-commerce can lower barriers to internationalisation by allowing SMEs to reach foreign customers without establishing a physical presence abroad, and how international growth still depends on learning, market knowledge and resource allocation.

Gents as a first example, described Sweden as its largest market, and Norway as its second largest. The firm is actively selling in all Scandinavian countries, as well as Germany, Denmark, France, and Finland, while also selling internationally. The interview also made a clear distinction between being available in many markets and actually investing in them. The company focuses its market resources mainly on closer or more prioritized markets such as Denmark n Germany. This shows that the international availability of a company does not automatically mean international market development. For Gents, foreign expansion is described as a step-by-step process, where each market necessitates adaptation because of its customer behaviour, trust requirements, and competitive conditions differs between countries. Germany, for example, was described as a large and attractive market, but also one where consumers look for safety and need to be approached differently. *"We are present or available in several markets more, and able to ship worldwide, but we're not putting a lot of marketing efforts in it."*

(Interview, Gents CEO)

"For us, it's a step-by-step journey."

(Interview, Gents CEO)

Nordlys Viking showed a similar distinction between international reach and active markets prioritisation. The company can ship towards around 130 countries and has sold to approximately 30 to 40 countries. But Sweden remains the main focus because this is where most advertising resources are allocated. The interviewee explained that e-commerce visibility depends mostly on paid marketing, especially through Google and Facebook. Even though the

company says opportunities in markets such as Norway, the United States and Germany, it does not currently have the resources to invest enough money to become visible in those countries. The interviewee explained that if your company cannot spend around 5 to €10,000 per month in the country, it becomes difficult to be seen. This makes Nordlys Viking a very relevant example of resource driven internationalisation, where the company has international potential but most focus its resources domestically. *"We can see that we have great opportunities in other countries, we're just not really big enough to spend the money."*

(Interview, Nordlys Viking Co-founder)

Steamery represented one of the more internationally developed cases. The company sells to 77 countries, with main markets including the United States, the United Kingdom, Germany, France, the Netherlands, and Sweden. The interviewee explained that different markets require different approaches because the product awareness may vary. In Sweden and the Nordic region, steamers are relatively well-known, while markets such as friends in Germany might require more demand creation. Steamery therefore does not only sell abroad, but also adapt its marketing logic depending on the level of market maturity and customer awareness. This makes the company different from some of the smaller cases, for which internationalisation appears more organic or reactive.

Himalayan Wool also sells internationally, but in a less planned and more organic way. The company described its workshop as a compliment to physical markets rather than the main sales channel. Still, it receives all from the United States, Australia, Canada and Europe in general. The interviewee explained that international demand developed in some parts through customers discovering the product at Swedish markets and partly through external exposure from people using the projects on YouTube. In this case, internationalisation is not mainly driven by paid digital marketing or deliberate market entry planning; instead, it is driven by product quality, tourism, and online visibility created by others.

Wyde Footwear showed a more direct international e-commerce profile. The company has sold to more than 65 countries, with Sweden, the United States, the United Kingdom, Germany, and Norway as the largest market. The company's Internationalisation seems closely linked to its niche positioning in anatomically correct footwear. Instead of competing as a general footwear brand, Wyde Footwear presents itself as a specialist company solving a specific customer problem. This allows the company to reach customers internationally through its own e-commerce, while still maintaining control over customer relationships, brand and data.

Les Enfants also described Sweden as the main home market, with Norway as another important market due to stronger purchasing power. The United States was identified as a key market

because of its size and growing traction. However, the interview also showed that international sales are affected by external conditions such as tariffs and shipping costs. The company responds to this by being transparent with customers about what part of the final cost comes from tariffs and what part comes from the product itself. This shows that internationalisation requires not only digital reach, but also communication, logistics management and customer trust.

Fine Little Day similarly described Sweden as the home market, while also observing growth in the United States and Northern Europe, especially Germany and France. The interviewee did not present this as the result of aggressive foreign targeting, but rather as partly connected to word of mouth and organic demand. The company also mentioned that tariffs created challenges, comparing the situation to difficulties experienced after Brexit. Like Les Enfants, Fine Little Day responds through transparency and customer support, explaining additional costs to avoid misunderstandings.

Overall, the findings show that internationalisation among the case companies is often gradual, selective and resource-driven. E-commerce platforms and digital tools allow the firms to reach foreign customers, but they do not remove the need to prioritise. The companies tend to focus their active efforts on markets where they see a realistic chance to build visibility, trust and sales with the resources available. For several firms, international growth is therefore not simply a question of opening a webshop to foreign customers, but of deciding where to invest limited marketing, logistics and managerial capacity.

4.6 Competition with larger online retailers

The interviews show that competition with large online retailers and platforms is more nuanced than initially expected. While companies were aware of major actors such as Amazon, Temu, Shein and Zalando, they did not all perceive these firms as direct competitors. In several cases, the interviewees argued that their customers, products and brand positioning were different from those of low-price mass retailers. However, large platforms still mattered indirectly because they shaped customer expectations around price, delivery, convenience, visibility and online shopping behaviour. OECD (2026) and Goldman et al. (2021) studied how large online retailers and digital platforms can shape e-commerce competition through scale, logistics, date, pricing power and customer expectations. However, the conducted interviews do show that the case companies do not always see those actors as direct competitors.

Gents for example clearly distinguished itself from Temu and Shein. The interviewee stated that the company does not really compete with Temu because Gents is positioned as a premium

quality retailer with a different customer base. The interviewee explained that Gents customers are often more aware, interested in expertise and less price-sensitive than customers buying low-cost products on mass platforms. At the same time, Amazon was acknowledged as more relevant because it offers a broad mix of products, including higher-quality brands. Still, Gents argued that its own brands and niche assortment make it less exposed to direct Amazon comparison. The interviewee noted that around 35% of the business comes from own brands, with a significant part of the remaining assortment also being niche.

Nordlys Viking presented a slightly different view. The interviewee acknowledged that platforms such as Temu, Shein and Amazon compete for consumers' limited budgets, even if they do not fully serve the same niche. For example, a customer may choose to spend money on several cheap products from a platform instead of buying one higher-quality item from a niche company. However, Nordlys Viking also argued that its core customers are more specialised and more attached to the brand. The company therefore sees large platforms as part of the wider competitive environment, but not necessarily as direct substitutes for its own products.

Steamery viewed Amazon as more strategically relevant than Temu or Shein. The interviewee described Temu and Shein as operating mainly through cheaper and lower-quality products, while Amazon was seen as more complex because it includes both low-quality and high-quality offerings. Rather than avoiding Amazon, Steamery chose to operate on the platform itself in order to control communication, assortment and pricing towards consumers. This shows a different strategic response from companies that avoid marketplaces. For Steamery, Amazon is not only a competitor, but also a channel that needs to be managed carefully. *"We try to cope with it on the channels that we deem relevant... to ensure that we have control over the communication and the pricing towards the consumer."*

(Interview, Steamery Senior DTC Growth Specialist)

Himalayan Wool did not see Amazon, Temu or similar platforms as direct competitors in terms of product quality. The interviewee argued that these actors cannot offer the same level of wool quality and authenticity. However, large actors still influence customer expectations, especially around delivery speed. The company has experienced customer frustration when deliveries take time or when shipments are delayed, even though the interviewee explained that once an order is handed to the postal service, the situation is partly outside the company's control. This shows that even when large platforms do not compete directly on product, they may still affect what customers expect from smaller sellers.

Know to Glow also did not frame Amazon as a main competitive target. The founder explained that working with Amazon would require significant cost, technical work and team capacity.

Instead of following marketplace logic, the company focuses on personal customer relationships and trust. The founder described the company's approach as one-to-one and human, rather than platform-based. In this case, avoiding Amazon is not simply a lack of resources, but part of the company's preferred way of building relationships with customers. *"Even if they're a competitor, I don't care... I want that human-to-human interaction, not market platforms."*

(Interview, Know to Glow CEO)

Wyde Footwear gave one of the clearest answers regarding large low-price platforms. When asked how Amazon, Temu and Shein affect the business, the answer was "absolutely nothing." The interviewee even suggested that these platforms may have a positive effect because customers become tired of low-quality products. Wyde's customers are not mainly looking for the cheapest shoes, but for shoes that help them feel better in their bodies. The company therefore competes through problem-solving and value communication rather than price. *"Absolutely nothing."*

(Interview, Wyde Footwear Founder/CEO)

Les Enfants also described large low-price retailers as different from its own positioning. The interviewee explained that Temu initially attracted customers through extremely low prices, but that many customers eventually realised that the quality was low. For Les Enfants, product safety, sustainability and quality are central because the products are for babies and children. This makes trust especially important. Amazon was described as a more complex competitor than Temu or Shein because it includes many brands and price levels, but Les Enfants still emphasised that its own products are difficult to replicate and supported by strong customer satisfaction.

Fine Little Day similarly stated that Temu and Shein have not affected its business very directly, but that they affect the broader industry. The main impact mentioned was that customers increasingly expect fast delivery and convenience. This again supports the finding that large platforms matter indirectly even when they are not direct substitutes. For Fine Little Day, the challenge is not mainly to match Temu or Shein on price, but to manage customer expectations while remaining true to the company's values and product logic.

Overall, the findings show that large online retailers and platforms are not perceived in a uniform way across the cases. For some firms, Amazon is a relevant channel or competitor. For others, Temu and Shein are almost irrelevant because the customer segment, product quality and brand promise differ. However, the indirect influence of large platforms is visible across several interviews. They influence price comparisons, advertising conditions, customer expectations,

delivery standards and assumptions about convenience. Therefore, the competition faced by Swedish e-commerce SMEs is not always direct product substitution, but a broader pressure created by the standards and habits established by large online actors.

4.7 Differentiation strategies

A strong pattern across the interviews is that the case companies rarely try to compete with large online retailers through price or scale. Instead, they describe differentiation as the main way to attract and retain customers. The most common forms of differentiation are niche positioning, product quality, authenticity, expertise, trust, customer service, sustainability and brand values. This finding is consistent across both more digitally advanced firms and smaller firms where e-commerce is still developing. Gents provides a clear example of differentiation through niche positioning and expertise. The interviewee explained that multi-brand retail is difficult because firms selling the same external brands are often pushed into price competition. Gents therefore tries to work with its own brands and niche brands that are less exposed to price wars. The company also emphasised expertise and knowledge, especially in grooming and perfume. The interviewee described employees as highly knowledgeable and able to talk in depth with customers about products. When facing price competition, Gents tries to compete through "authenticity, expertise, quality" rather than discounts. This approach is also visible in its own-brand strategy, where Gents seeks more control over products and positioning. *"If you have the same things that everyone else has, you have to compete on price. And that is not healthy."*

(Interview, Gents CEO)

"We believe that we are able to compete in the longer term with our expertise and knowledge."

(Interview, Gents CEO)

Nordlys Viking also relies strongly on differentiation. The company positions itself around Viking-inspired niche products, but not only through the product category itself. The interviewee emphasised branding, ethical production, environmental awareness and customer service. Nordlys Viking described efforts such as using recycled boxes, reducing environmental footprint and including handwritten notes in orders. These practices require time and may not always be directly profitable, but they support the company's identity and help create a more personal customer experience. The interviewee also linked low return rates and strong reviews to the quality of products and service.

Steamery's differentiation is built around brand control, product awareness and customer safety. The company sells through several channels, including wholesale, own e-commerce and marketplaces, but tries to ensure that the brand is represented properly across channels. The interviewee explained that the company offers benefits through its own channel, such as a 30-day return policy, extended warranty and a more premium website experience. The company is also working on a new website to lift the brand through its own channel and avoid relying only on price-based competition through other retailers.

Himalayan Wool differentiates mainly through authenticity, material quality and personal service. The interviewee repeatedly emphasised that the products are made from real wool and produced in Nepal. The company also described travelling to Nepal and taking real photos of the animals rather than using AI-generated or fake imagery. This was presented as part of the company's commitment to honesty and authenticity. Himalayan Wool also tries to be very customer-friendly, including replacing products when mistakes happen and helping customers personally with sizing, payment and delivery issues. The company's approach is less focused on advanced digital marketing and more focused on product quality, trust and word of mouth. *"If people find our products, they will realize that we have the higher quality."*

(Interview, Himalayan Wool Representative)

Know to Glow differentiates through expertise, trust and personal interaction. The founder described the company as focused on unknown skincare brands that meet specific standards regarding quality, price and formula. The company does not position itself as a low-price mass retailer, but as a trusted reference point for effective skincare. The founder also emphasised direct customer interaction and personal advice, including consultations and a willingness to help customers individually. Rather than treating complaints as purely negative, the interviewee described them as opportunities to create trust by solving problems generously. *"I would never publish anything without knowing what I'm talking about."*

(Interview, Know to Glow CEO)

Wyde Footwear's differentiation is especially clear because the company is built around solving a specific physical problem. The interviewee explained that customers do not buy Wyde shoes simply to spend as little money as possible. They buy them because they want shoes that help them feel better in their bodies. The company's niche is described as anatomically correct shoes that respect the function of the foot, while still avoiding an overly extreme barefoot ideology. This gives Wyde a specific position within the footwear market and allows it to compete through value rather than low price. The company also stresses the importance of communicating this value clearly to customers.

Les Enfants differentiates through premium quality, sustainability and product safety. The company produces children's products such as muslin blankets, clothing and feeding accessories, using materials such as bamboo and controlled production processes. The interviewee emphasised that its products are more expensive than many alternatives because they are softer, safer and more sustainable. This is especially important in the baby and children's product category, where trust and safety are central. Les Enfants also benefits from organic visibility through satisfied customers and influencers who already use the products. The interviewee mentioned that paid influencer collaborations can be too expensive, but that genuine use by well-known figures can support the brand.

Fine Little Day differentiates through consistency, values and design identity. The interviewee explained that the company does not rely heavily on campaigns or discounts. Instead, it focuses on collaborations with designers, new product drops and a brand identity that customers can recognise and trust. The company's small size is described as a challenge, but also as something that allows it to communicate authentically with customers. Fine Little Day also emphasised staying focused, being personal and remaining true to its values rather than copying what competitors do.

Customer experience is a central part of differentiation across several cases. Nordlys Viking described strong reviews, low return rates and efforts to turn unhappy customers into satisfied ones. Himalayan Wool described going out of its way to make customers happy, especially when mistakes happen. Know to Glow described customer service as personal and generous, including sending extra products or helping customers directly. Les Enfants and Fine Little Day both emphasised transparency around tariffs and shipping costs, showing that customer experience is not only about the product but also about clear communication when external conditions affect price or delivery.

The findings therefore suggest that differentiation is not one single strategy, but a combination of several practices. Some firms differentiate through product expertise, some through sustainability, some through authenticity, some through customer service, and others through problem-solving or design identity. What they have in common is that they generally avoid direct price competition with large online retailers. Instead, they try to give customers reasons to choose them that are not based only on low price, fast delivery or broad assortment.

Overall, the case companies appear to use digital channels not simply to imitate larger platforms, but to communicate and support their distinct value propositions. Websites, social media, reviews, email, Shopify functions, influencer visibility and customer service channels help make their differentiation visible to customers. This means that digitalisation and differentiation are

closely connected in the empirical material. Digital tools help the firms reach customers, but the reason customers choose them is often linked to quality, trust, niche positioning, authenticity and personal service.

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5. Analysis and discussion

The chapter analyses and discusses the empirical findings in relation to the literature review and conceptual framework. It explains how the findings contribute to understanding how Swedish e-commerce SMEs use digitalisation to manage resource constraints and compete with larger online retailers. The chapter connects the empirical themes to previous research on SME digitalisation, platforms, internationalisation, resource-based competitiveness and differentiation. The purpose is to move beyond description and interpret what the findings mean in a broader theoretical and practical context.

5.1 Introduction to the analysis

In this chapter the focus will be placed upon discussing and analysing the empirical findings that were covered in chapter 4 in direct relation to the theoretical framework and previously conducted research that were introduced at an earlier stage in the thesis. The objective of the analysis is not to merely describe the experience of our case companies but also to accurately interpret how Swedish SMEs in a strategic manner use digitalisation as a tool for overcoming resource constraints and compete successfully with larger international corporations.

Our analysis will be centered around the main themes that were identified during our empirical investigation and thematic process for analysis. Key theme concepts include strategic prioritisation, digital marketing, channel effectiveness, resource constraints, customer value and differentiation, internationalisation and foreign market activity, and competition with larger online retailers and platforms. Each section will be connected to the empirical findings relevant to theoretical perspectives that are related to SME digitalisation, internationalisation, competitive advantage, platform‑based competition, and resource constraints.

Instead of interpreting and viewing digitalisation as a singular technological phenomenon, the analysis we will conduct will be focused on how the use of channels, platforms and digital tools are strategically utilised, configured and prioritised by Swedish SMEs that out of necessity operate under resource limitations. The chapter will also delve into how differences in the organisational maturity, market positioning, business model and customer focus forms the manner in which firms use digitalisation and how they respond to increased pressure due to the increased competition from larger multinational actors.

With this discussion, the following chapter aims towards developing a more in depth understanding of how SMEs seek to create and sustain competitive advantages despite their limited resources and the increasingly more complex digitally mature market conditions that SMEs need to navigate effectively. Our analysis is therefore deeper than descriptive findings in order to identify and map the broader patterns, theoretical implications and strategic trade offs that are intertwined with SME competitiveness and digitalisation in international e-commerce environments.

5.2 Resource constraints and digital choices

Our empirical findings showcase that although resource constraints play a key role in the shaping of how Swedish e-commerce SMEs approach strategic decision-making and digitalisation. The case companies for our study highlights that the constraints of SMEs are not solely financial, further limitations include technical expertise, logistics capacity, staffing, time and marketing resources. These findings correlate with previous research that argues that SMEs contend with structural limitations that have a strong impact on their organisational capability development and their strategic flexibility. (Dethine et al., 2020; Kraus et al., 2021).

The resource-based perspective argues that firms not only compete with each other through gaining access to resources for themselves but also how effectively these resources are prioritised, organised and ultimately transformed into beneficial capabilities that allows the firms to generate value and create competitive advantages. (Barney, 1991). The findings indicate that the SMEs that comprise our case companies are well aware of their existing limitations compared to their larger competitors and how these limitations are constructed as a result of their smaller organisations. Therefore, they are able to make well informed deliberate and selective decisions about how to direct their digital investments instead of attempting to replicate the digital infrastructure or scale of larger well established multinational competitors. The case firms

engage in digital initiatives that they perceive as being of most strategic utility within what their specific resource conditions allow.

Furthermore, our findings indicate that the scarcity of resources not only influences what SMEs invest in but also what they deliberately avoid in pursuing. Numerous interviewees described that their companies avoid expansion into new sales channels, limit their digital marketing and perform little to no experimentation with advanced analytics. This is a result of the fact that these initiatives often require time, financial resources or staffing that simply exceed the organisational capacity of SMEs. This finding clearly supports the argument that SME digitalisation should not be viewed as a straightforward technological process but rather as a strategic process of strategic decision making shaped under conditions of resource constraint. (Vial, 2019).

Simultaneously, the findings demonstrate that limitations that stem from a lack of resources also may stimulate increased adaptability, focus and efficiency. Several interviewees mention the need to make wise decisions regarding operational priorities, product assortment and marketing channels. This aligns in part with the resource-based view, competitive advantage is not necessarily created and sustained from possessing more resources than the competition but from effectively utilising the resources that are available to your organisation in a manner that your competitors are unable to match. (Barney, 1991). A common strategy for SMEs to do this is to focus on niche positioning rather than trying to compete on scale.

Furthermore, the findings strongly suggest that the constraints that SMEs face changes depending on the maturity, size and development stage of the firm. A clear example of this is Himalayan Wool, this firm is the smallest included in our study and they are far more constrained by their severe operational limitations that stem from the fact that they have a small staff which heavily affects their operational capacity while more mature SMEs like Nordlys Viking and Gents mainly discussed challenges related to scaling, coordination and strategic optimisation. This implies that the nature of resource constraints are dynamic, not static and that the priorities made by the organisations evolve along with the growth of the operational capacity of the organisation.

Furthermore, the conducted interviews highlight that digitalisation in itself might function as an intriguing opportunity and as additional pressure for SMEs to manage at the same time. Although digital tools lower entry barriers and provide SMEs with significant market access and international visibility, at the same time they create higher expectations regarding rapid customer communication, advanced analytics, multi-channel coordination and constant content production. This results in SMEs often having to deliberately balance their opportunities brought on by digitalisation against the strain these initiatives have on their organisational operations while

maintaining their digital competitiveness. This insight clearly strengthens the arguments presented by previously used literature that digitalisation primarily reshapes structural asymmetries between SMEs and larger competitors instead of eliminating them. (Verhoef et al., 2021; Vial, 2019).

In conclusion, the findings indicate that resource constraints do not solely exist as barriers towards digitalisation, but rather that the conditions responsible for shaping how digital initiatives are prioritised, implemented and configured. In our case companies do not pursue digitalisation with indiscretion, instead their digital choices are heavily influenced by strategic trade-offs, limitations stemming from their organisational capacity and the need to utilise limited resources in an efficient manner that maximises sustainability and competitiveness in the long-term.

5.3 Digitalisation as a way to compensate for limited resources

The empirical findings heavily support the view that digitalisation not only functions as an effective mechanism for communication and market access but also as a useful tool for SMEs to leverage in order to compensate for their resource scarcity. Across our case companies for this study, digital tools were used to great effect when it comes to enhancing efficiency by aiding in decision-making and reducing operational pressure, which in turn allows small organisations to manage activities in a manner that would otherwise demand far larger staffs or the use of external support. In this sense, digitalisation serves as a capability-enhancing mechanism which allows SMEs to “do more with less”.

Multiple interviewees from our case firms confirm that they to a large extent rely on digital platforms such as Meta, Google and Shopify in order to manage key aspects of their operations internally. This insight aligns strongly with previous literature that argues that digital technologies may be used for reducing entry barriers by enabling operational flexibility and lower coordination costs. (Jean and Kim, 2020; Kraus et al., 2021). Instead of depending on physical infrastructure or well developed organisational structures, digital systems are instead utilised as leverage for facilitating logistics coordination, customer engagement, international visibility, communication and marketing.

In particular the findings support the idea that digital tools provide SMEs with the ability to compensate for limitations in key areas related to managerial capacity and staffing. Several case companies described their usage of platforms like Shopify as a way to centralise their operations and simplify coordination within inventory control, website management, customer inactions and

payment handling. Furthermore, tools related to Google and Meta were frequently highlighted as crucial for traffic generation, customer acquisition and advertising optimisation. In practice, these digital tools allow SMEs to gain access to sophisticated capabilities that previously were more closely associated with larger organisations that have the capabilities and resources to develop and sustain specialised departments due to their larger financial resources.

Simultaneously, our conducted interviews imply that digitalisation should not be viewed as a limited phenomena for automation or enhanced efficiency but instead as a comprehensive tool for the improvement of their decision-making. Multiple firms mentioned the benefit of digitalisation when it comes to accurately tracking performance which helps them determine which channels, campaigns and products provide the firm with the best result. Our interviews therefore clearly support the existing previous research argumentation that digitalisation drives more accurate and simpler data-driven decision-making which allows the firm to not only make smarter decisions but also to reach these decisions faster in a manner that increases a firm's ability to quickly make strategic changes in their business operations for competitive advantage in market conditions that often change unpredictably. (Verhoef et al., 2021). This is especially valuable for SMEs struggling with resource scarcity since such information becomes of extra importance due to the fact that poor decisions may have disproportionately negative effects for SMEs compared to their larger competitors with greater margins.

Furthermore, the findings of our interviews make it exceptionally clear that AI-related tools today are exerting significant influence over how SMEs conduct and plan their content creation and digital operations. Although, the degree to which the adoption of AI-related tools varies greatly between the firms it is affecting how all of them view and approach their digital operations. Some of the case firms described the use of leveraging AI to assist with enhancing operations, content generation and efficiency improvements that without AI would be far more time consuming and require rare specialised expertise that would not be available to most SMEs.

This aligns with the emerging literature that suggests that AI may potentially function as a method for resource-multiplying which may aid SMEs by reducing their demand for external expertise and lower the associated costs with some efficient digital activities. (Zhang et al., 2025). On the other hand, the findings also imply that AI adoption is heavily selective and strongly depends on the internal organisational knowledge regarding AI, trust in the utility, and the perceived strategic relevance which would motivate the investment and focus on AI.

Simultaneously, the findings indicate that digitalisation can not entirely remove the inherent disadvantages that are associated with SMEs due to their limited resources. While digitalisation increases both accessibility and efficiency, it also in the process creates new expectations in key

areas such as platform management, customer responsiveness, digital visibility, content creation and operational expectations. Multiple interviewees confirmed that there are difficulties associated with maintaining a dependable consistent digital activity since the staffing capacity is scarce. This suggests that although digitalisation provides organisations with promising opportunities it also in the process creates additional pressures which strongly supports the argument that digital transformation merely reshapes structural asymmetries between SMEs and larger corporations instead of removing them entirely. (Vial, 2019; Verhoef et al., 2021).

Additionally, the findings suggest that SMEs differ remarkably regarding how deliberately knowledgeable their usage of digital tools has turned out to be. More established mature SME firms like Gents and Steamery for example are able to operate with clear structure and a data-driven approach that involves several channels, coordinated digital strategies and analytics integration. Smaller SME firms on the other hand, often had to rely on a far smaller selection of channels and tools that they themselves perceived as feasible within their existing organisational capabilities. This clearly shows that it is crucial to develop the digital capability of an organisation in order to reap the potential benefits. Furthermore, it also indicates that the digital capabilities of a firm is closely connected to accumulated experience, organisational learning and the maturity of the firm.

In conclusion, the findings heavily corroborate that digitalisation features not only as a significant mechanism for enabling SMEs to extend the capabilities of their organisation beyond what would be normally possible due to the constraints formed by resource scarcity. However, it is important to keep in mind that the ability to reap the benefits from digitalisation appears to be strongly dependent on the capability of the firm to integrate, prioritise and manage digital tools in a sound strategic manner within the constraints of the organisation's maturity.

5.4 Platforms as both support and limitation

The empirical findings establish that digital platforms today constitute a key role in the organisational operations and competitiveness of Swedish e-commerce SMEs. Across all of our case companies in this study, large well established platforms like Meta, Amazon, Google, Klarna and Shopify were described as vital infrastructure that provides invaluable support for key areas of the firm's day to day operations in key areas such as online visibility, payment processing, customer acquisition, logistics coordination, communication and overall efficiency regarding the operation of the organisation. However, the findings also indicate that there is a significant risk associated with these platforms since they create dependencies in operational

pressure which may result in strategic vulnerability. The result of these benefits and inherent risks is that digital platforms in many cases function as both an enabling mechanism and potential constraints for SMEs seeking to operate with flexibility for efficiency in the international e-commerce environment firms must navigate today with fluctuating conditions where adaptability is often beneficial.

On one hand, our findings align well with previous research making the point that digital platforms significantly lower entry barriers for SMEs which allows them to enter international markets to an extent that simply would not be possible without said digital platforms. (Jean and Kim, 2020; Tolstoy et al., 2021). Multiple case companies gave us detailed testimonies regarding how platforms such as Shopify enabled them to set up their store with sophisticated features easily and how Shopify simplified the entire process of managing their online store presence through their comprehensive solutions for coordinating orders, processing payments and reaching international customers without having to build the large internal technological infrastructure that would be necessary without Shopify. In a similar manner, Google and Meta were frequently identified and mentioned as useful platforms for achieving visibility, customer acquisition, and digital marketing. These findings corroborate that these large well developed platforms that are managed by large multinational companies provide SMEs with beneficial access to capabilities that they would never be able to achieve on their own since they lack the organisational and financial resources required. In short, a key insight we have acquired during our study is that not all large multinational corporations are in competition with SMEs, some of them are as a matter of fact aiming towards making it easier for SMEs to conduct their operations as their business model.

Additionally, the findings support the notion that the previously mentioned platforms Shopify, Meta and Google allow SMEs to operate internationally at a scale that would have been impossible before. Through analytical platforms, digital advertising tools, dependable international payment solutions and sophisticated e-commerce systems SME firms are able to reach customers with ease across multiple countries and continents with great precision for targeting purposes while at the same time maintaining a relatively lean organisational structure. Our insights clearly reflect the literature that describes digitalisation as a significant accessibility mechanism for international markets that enables SMEs to participate in the vast global e-commerce market in a far more efficient manner than would be possible without digitalisation. (Bhandari et al., 2023).

However, it is important to keep in mind that our interviews at the same time demonstrate that an overreliance on third party platforms can potentially create substantial strategic and operational shortcomings. Multiple firms described how their online visibility became

increasingly dependent on the paid advertising systems they used that are under the complete control of platforms like Meta and Google. This inevitably leads to a situation where the customer acquisition of SMEs often leads to a strong dependency on the advertising costs, algorithmic systems and specific platform conditions that are outside the scope of the control of the SMEs themselves. This creates a vulnerability for resource-constrained firms without the organisational capacity to be independent from these platforms. Key threats include rising advertising costs or declining visibility that depending on circumstances may pose substantial challenges. These findings clearly support the previous literature which argues that although digital platforms may strengthen asymmetries between SMEs and larger companies possessing a higher amount of financial resources along with stronger digital infrastructures to support the management of the enterprise. (Verhoef et al., 2021).

Furthermore the findings also clearly indicate a high level of dependence on external platforms for key strategic areas of the operations of the firm may decisively reduce the strategic autonomy of an SME due to the lack of strategic reflexivity that is associated with relying on third party platforms. Some case firms voiced concern regarding how these limitations could affect them in the future when it comes to key aspects of their business operations such as marketplace participation, customer relationships, ownership of customer data and brand control.This insight was exceptionally perceptible during the discussions regarding Amazon. Some of our case companies expressed clearly that in their view Amazon constitutes a unique and useful sales channel that provides them with exceptional reach since there are so many customers shopping on Amazon. On the other hand, others clearly expressed that they deliberately avoided using Amazon as a marketplace to sell their products due to the fact that they prefer to build their own online presence that they have stronger control over. These differences show that for SMEs there is a continuous balancing act between the opportunities associated with the larger third party platforms and the inherent risks with depending strongly on them.

Technical and operational issues related to digital platforms were also identified across several interviews we conducted. Our case companies mentioned that there are challenges closely related to inventory synchronisation, advertising effectiveness, platform fees, changing platform conditions and logistics coordination. These issues are of particular importance for SMEs since they more often than not do not have the same technical expertise as their larger competitors in the form of specialised technical teams which limits their capacity to manage disruptions in their business operations. The result of this is that the dependence on third-party platforms could potentially cause vulnerabilities that disproportionately have a negative impact on SMEs since they do not possess the technological capabilities and resources of larger firms which enables the larger firms to manage these disruptions.

Simultaneously, the findings confirm that SMEs are not completely passive when they engage with these platforms. Numerous case companies described their strategies regarding how they select, prioritise and combine different digital systems. Some SMEs mentioned that their focus is directed towards their own channels like their own websites and email marketing with the goal of reducing their dependence on external third party platforms. Others described that their usage of these platforms were more selective and they depended heavily on international market strategy, product category or customer segment. This indicates that third party platform usage for SMEs is not merely a technological adoption, but an ever evolving strategic process determined by trade-offs between key issues such as efficiency, control, visibility and long-term sustainability.

Additionally, the findings express that a dependence on platforms may be an evolving process that correlates alongside firm maturity. More mature and established firms appear to be far better positioned when it comes to managing and negotiating their relationships with the platforms. This is mainly due to their stronger brand identity, greater organisational capacity and more diverse traffic sources. SMEs on the other hand appear to be far more reliant on individual major platforms for not only visibility but also for generating sales. This indicates that a dependence on platforms is of extra significance during early development stages of SMEs when the firms have limited options regarding alternative channels or platforms and weaker relationships with their customers.

Across the board, the findings indicate that large digital platforms with significant reach and sophisticated features represent both opportunities and potential constraints for Swedish e-commerce SMEs. These platforms provide SMEs with access to international markets, digital capabilities and an operational efficiency that would be difficult to replicate on their own. Simultaneously, they might create dependencies that reduce strategic flexibility and leave them exposed to external conditions that SMEs have limited control over. This relationship between digital platforms and SMEs is therefore in our view an ambivalent one. With the platforms offering SMEs capabilities they themselves do not possess that increases their competitiveness while also at the same time creating new forms of constraints and vulnerabilities for the SMEs that exposes them to strategic pressure.

5.5 Selective internationalisation

The empirical findings imply that internationalisation for Swedish e-commerce SMEs is seldom a fully global phenomenon characterized by unrestricted processes. Even though the development of digitalisation and the formation of e-commerce platforms have remarkably

augmented the access to foreign markets for firms which in turn enables them to acquire foreign customers. Our interviews clearly establish that despite international expansion being far more accessible for SMEs in today's business environment it is still the case that the opportunity for international expansion is strongly affected and shaped by access to resources. As a result, many SMEs are still to a larger extent more affected by resource constraints which in turn affect their strategic prioritisation and organisational capacity which creates barriers that persists for SMEs even in the age of digitalisation.

All of the SMEs in this study have the required technical abilities to offer their products to foreign consumers by selling internationally. However, only a limited number of the case companies actively targeted multiple foreign markets at the same time, many firms preferred a more gradual approach. The findings therefore indicate that internationalisation is best understood as a selective, gradual process heavily dependent on the strategic objectives and resources at the firm's disposal.

The arguments presented by previous literature that digitalisation is a phenomenon that significantly lowers entry barriers to various international markets which enables firms to target foreign consumers without the presence of any physical presence in the markets they target. (Jean and Kim, 2020; Tolstoy et al., 2021). Multiple SMEs described how their presence on social media platforms in combination with the e-commerce systems and digital payments solutions allowed them to gain visibility and sales from markets that they did not deliberately target. This demonstrates to us that digitalisation appears to enhance the international reach of SMEs

Several companies described how e-commerce systems, digital payment solutions, social media, and online visibility made international sales technically accessible even for relatively small firms. In this sense, digitalisation appears to increase the international reach of SMEs considerably in comparison with the more traditional form of international expansion where firms deliberately target specific foreign markets.

Furthermore, our findings at the same time suggest that the accessibility to international markets should not be mistaken for international market development. Several interviewees expressed that although they have the ability to ship products on a global scale they on purpose focus their marketing efforts and operations on specific international markets that they wish to prioritise for customer acquisition. This was particularly noticeable in companies such as Gents and Nordlys Viking, for these firms there is a considerable distinction to keep in mind between being available for international orders and actively investing in specific international markets for customer acquisition, this became apparent to us during the interviews. These findings clearly

establish to us that internationalisation is not merely about possessing the technological capacity required for reaching foreign markets, but also the process of allocating the resources of the organisation in a wise strategic manner.

The interviews highlighted that foreign market expansion is a complex initiative to undertake and it often requires a conscious and significant adaptation based on customer behaviour, trust, language, logistics, regulations, and marketing conditions in the specific international market you intend to target. Some firms mentioned that the different markets they were actively targeting involved different expectations, wants and needs from the customers along with varying levels of knowledge about the products the firms offer. This provides strong support for the previous internationalisation literature which emphasises that successful entry and participation in foreign markets requires experiential learning and gradual capability development as a result of the experiential learning instead of a straightforward smooth and predictable entry into a market that is less familiar to the firm compared to the home market. (Johanson and Vahlne, 2009).Therefore firms have to interpret the market accurately and continuously adapt their strategies tailored to the specific market. This is of particular importance in digitalised e-commerce environments where firms operate under heavy scrutiny and fierce competition.

Additionally the findings corroborated that resource constraints in marketing plays a key role in shaping the opportunities for SMEs in foreign markets. Therefore, they exert strong influence over how SMEs prioritise expansion into different foreign markets. The interviewees highlighted that online visibility is highly dependent on advertising costs on major platforms like Google and Meta. Due to this dependency, firms often make the conscious decision to concentrate their investments towards markets they view as the ones with the highest potential for a strong return on their investment with their available resources. This aligns strongly with the argument that despite the increased access to foreign markets due to digitalisation SME internationalisation efforts are still deeply constrained as a direct result of their resource constraints and organisational limitations. (Bhandari et al., 2023). Growth in international markets is therefore a selective endeavor for SMEs rather than an unlimited opportunity, even in a digitally mature and interconnected business environment.

At the same time it is crucial to note that the findings designate that the internationalisation pathways diverge considerably between different firms. However, some companies, such as Steamery and Wyde Footwear, exhibited more organised and shrewdly coordinated internationalisation processes entailing different operational international markets and intentional market adaptation strategies. Other case firms, like Himalayan Wool and Fine Little Day, seemed

to generate more reactive and organic international growth driven by the high quality of their products and content generation which in turn generate word-of-mouth exposure and influencer visibility, which in turn allows them to acquire international customers through these channels instead of comprehensive large-scale activities for international expansion. This suggests that SME internationalisation cannot truly be understood as a single simple unchanged uniform process; a deeper understanding stems from viewing internationalisation as a set of different pathways moulded by access to resources, organisational maturity, niche positioning and product characteristics.

The findings clearly substantiate that external factors such as shipping costs, logistical complexity and tariffs, continuously form significant barriers that hinders the development of international e-commerce. Transparency was highlighted in interviews as being of great importance in key areas such as customer communication and expectation management when it comes to navigating these external factors well for efficient operational management. Successful internationalisation is demanding, it is simply insufficient to merely enable international shipping. SMEs must manage operational coordination, customer trust and specific challenges related to the markets they operate in simultaneously despite their small organisational capacities.

By analysing the findings in a broader perspective, it becomes apparent that the findings in part challenge the common highly optimistic dialogue surrounding internationalisation through the use of digitalisation. Although it clearly increases accessibility for SMEs by lowering barriers it does not provide any relief regarding the strategic trade-offs connected with international growth. The findings indicate that digitalisation offers SMEs the opportunities to participate in international markets however it does nothing to help them mitigate their organisational and resource constraints that force them to prioritise selectively when it comes to channels, markets and investments while neglecting other initiatives due to their constraints.

Comprehensively, the findings imply that internationalisation for Swedish e-commerce SMEs is best viewed as a multifaceted process characterised by selective and resource-dependent constraints, instead of an unrestricted opportunity for SMEs brought on by digitalisation. Although e-commerce platforms and digital tools significantly expand the reach of Swedish SMEs in foreign markets, successful expansion internationally is still in the age of digitalisation heavily dependent on wise strategic prioritisation, the allocation of limited resources and organisational learning which is crucial in order to achieve positive results across different markets.

5.6 Competition with larger online retailers

The empirical findings of our study indicate that the competition SMEs engage in with larger well known online retailers and digital platforms is far more nuanced and complex compared to the surface level focus and attention on direct price alone. Across the case companies, larger companies such as Amazon, Temu, Shein, and Zalando were not always even perceived as direct competitors at all to take into account in the traditional sense. Instead, the findings indicate that these large platforms with their significant reach frequently and to a large degree exerts influence on SMEs indirectly through shaping the expectations customers have for key metrics such as price, delivery speed, convenience, visibility, and overall online shopping standards. The Competition therefore seems to extend further than direct product substitution and increasingly culminates in the adaptation to broader conditions in the markets that are shaped and determined by dominant digital actors.

Several of the interviewees distinctly made the point that their product offerings, customer segments, and value propositions differ to such a large substantial degree from these larger platforms associated with low prices and scale on mass like Temu and Shein that these companies have virtually no effect at all. These companies include Wyde Footwear, Himalayan Wool, and Les Enfants. These SMEs asserted that they focus on key attributes such as quality, authenticity, expertise, and sustainability, rather than seeking to gain competitive advantage through low prices meant that these large Chinese retailers are a non factor in their decision making since they are simply not competing for the same customer segments. This clearly displays that in many cases SMEs on purpose avoid trying to compete in a direct manner on dimensions where larger platforms undeniably possess a strong advantage that SMEs can not replicate. Logistics efficiency and low prices are key examples of such dimensions.

Instead, the SMEs strive towards positioning themselves well in specialised niches where customer trust and clear differentiation are more relevant competitive factors, these factors are favorable to SMEs since they can compete in these fields despite their constraints in resources and managerial maturity. These findings support the resource-based view, which highlights that sustainable manageable competitive advantage often comes as a result of unique capabilities, specialised positioning, and differentiation which allows the SME to generate value creation that is difficult for larger competitors to copy in spite of their dominant position in the market. (Barney, 1991). Due to the fact that SMEs generally lack both the financial and logistical capabilities that would be required in order to compete directly on scale and price with large global platforms, many SMEs instead make the wise strategic move of finding a specific niche where they clearly focus on generating value for consumers through quality, expertise, authenticity, customer relationships, and strong niche positioning.

Simultaneously, our findings imply that despite this, large online platforms with significant reach and brand image are still able to exert significant pressure on SMEs indirectly. Although many interviewees did not see them as direct competitors they did mention that companies such as Amazon and Temu exerts substantial influence regarding the standards customers expect in low pricing, frictionless purchasing processes and quick delivery times, in short these companies provides their customers with a great amount of convenience that SMEs often struggle with matching. This findings aligns well with previous literature implying that dominant digital platforms increasingly affect and shape market standards and consumer behaviour across national borders as a result of their unprecedented reach. (Verhoef et al., 2021).

The findings particularly suggest that the expectations for faster deliveries constitute a major area of indirect competition. Several interviewees mentioned the difficulties with satisfying these customer expectations regarding shipping speed and logistics, especially since shipping delays for SMEs often emerge due to events that are outside the scope of the direct control of the company itself. Larger players such as Amazon for example possess highly developed logistics infrastructure, therefore they are indirectly increasing the pressure upon SMEs to deliver both faster and in a more seamless manner in spite of their substantially less access to resources. In this regard, it is important to realize that competition is not merely limited to the products alone, but that the operational standards that consumers increasingly expect from all online retailers also have a significant effect on SMEs.

The interviews also indicate that the perception customers have regarding primarily trust and quality complicate the position of low-price platforms. Some interviewees made the point that stronger consumer awareness regarding sustainable consumption, product quality, and reliability creates opportunities for well positioned SMEs to acquire customers. For example, companies like Wyde Footwear and Les Enfants described their customers in detail as individuals that prioritise comfort, safety, expertise, or product effectiveness over the lowest possible price, they are not looking for the best possible deal, rather they are seeking high quality products at reasonable prices. This implies that smaller firms may in part serve as a counterbalance to the advantages enjoyed by larger platforms by utilising a strong value-based differentiation strategy.

At the same time, our findings indicate significant variations regarding how SMEs respond to larger platforms. Some deliberately stay away from marketplace dependence in order to nurture and preserve customer relationships, create and sustain brand control, and maintain organisational identity. Others, such as Steamery for example, choose to participate on platforms like Amazon as sellers while at the same time attempting to manage their assortment, communication, and pricing carefully for maximum effect in their operations. These differences imply that SMEs are unique business entities that do not respond in a precise and uniform

manner to the threat from platform competition, instead they develop differing strategic approaches depending on their business model, maturity, customer segment, and competitive positioning.

Furthermore the findings also in part challenge the overly simplified assumption that digitalisation automatically creates equal and lucrative competitive opportunities for firms of all sizes to the same degree. While it is undoubtedly the case that digital tools lower barriers to market participation in a precise and significant manner,this does not erase the advantages of large digital platforms as it simultaneously reinforces the competitive asymmetries that are closely related to logistics, advertising capacity, customer data, and operational scale. This aligns well with arguments that digitalisation intensifies particular structural inequalities at the same time. (Vial, 2019; Verhoef et al., 2021).

Overall, the findings imply that the competitiveness between Swedish e-commerce SMEs and large online retailers is primarily indirect and the result of structural and expectations from consumers rather than solely on direct product competition. Large platforms have the ability to shape the competitive environment in their image by affecting customer behaviour, operational standards, and digital market conditions. SMEs therefore compete through niche positioning rather than the futile attempt to replicate the business model of the large platforms.

5.7 Differentiation as the main competitive response

Our empirical findings in this study implies that the differentiation comprises the main competitive reasoning utilised by Swedish e-commerce SMEs when seeking to compete within the increasingly competitive and internationalised digital domestic and foreign markets. Across the interviewees there was limited indication that the SMEs were interested in making the attempt to gain competitive advantage over large online retailers through low prices, scale, or logistical dominance. Instead, the SMEs consistently argued for factors like niche positioning, quality, authenticity, expertise, customer relationships, sustainability, trust, and brand identity as the key foundations for them in order to create and maintain a competitive edge. Digitalisation therefore seems to serve not only as a mere tool for market access, but as a mechanism for both communicating and strengthening differentiated value propositions presented to potential customers.

These findings align strongly with the previously discussed resource-based view, in which the argumentation is centered around the notion that firms may achieve sustainable competitive long term advantages through the development of valuable resources that are difficult for competitors

to replicate along with capabilities that are unique rather than simply competing through cost efficiency or scale initiatives. (Barney, 1991). SMEs shortcomings in financial resources, logistical infrastructure and operational scale compared to large digital platforms mean that SMES seek to compete through more specialised and relational initiatives that are difficult for mass-market competitors to imitate.

Numerous SMEs displayed particularly strong niche positions. Firms like Wyde Footwear, Himalayan Wool, and Les Enfants all focused on specific customer needs related to quality, comfort, authenticity, or sustainability. They deliberately choose not to make the attempt to be appealing to broad masses of consumer segments. By narrowing down their targeted customer segments these companies can leverage product differentiation and trust towards the goal of customer acquisition. This aligns well with previous research that implies that SMEs most often compete successfully through differentiation strategies instead of confrontation with dominant larger actors (Civelek et al., 2023).

Furthermore, our findings imply that an authentic brand image functions as a key strategic resource for many SMEs. Multiple interviewees vividly describe the benefits of being associated with being perceived as a smaller, more personal, and more transparent company compared to larger online platforms. SMEs likeKnow to Glow and Fine Little Day strongly and repeatedly emphasised the value of creating and nurturing direct customer relationships through personal communication, and clear brand consistency as key parts of their competitive positioning in their business orientation. Because of this, the smaller organisational capabilities of SMEs may become a factor supporting competitive advantage since it allows for more personalised interactions and a stronger relational trust with customers.

The Customer experience also arose as a vital component for differentiation. Multiple SMEs mentioned their priority of customer satisfaction by being transparent, and service minded in spite of having to conduct their operations under constant resource constraints. This was especially clear in SMEs such as Himalayan Wool, Know to Glow, and Nordlys Viking, where customer relationships were not only a priority but treated as a vitally strategically important area for consistent sales rather than simple day to day operational functions. This suggests that SMEs strive to compensate for limitations related to their size by strengthening their interactions with customers and through that create strong connections with customers.

Furthermore, the findings highlight that digital tools play a central role in the strive towards developing effective differentiation strategies. Websites, social media, email marketing, influencer visibility, customer reviews, and digital storytelling are great examples of tools that were often utilised to communicate and solidify brand identity, expertise, product quality, and

company values. Many firms aim towards using digitalisation as a way to strategically reinforce what separates them from their competition instead of solely using digitalisation as a way to increase transaction volumes. This finding partly poses a challenge to the common and simplified assumption which classifies digitalisation primarily as a tool for standardisation and competition based on price. Instead,our findings indicate that digitalisation also supports differentiated identity-driven competition.

Simultaneously, the findings also corroborates that differentiation strategies are varied and depend on the firm's market positioning, organisational capacities and maturity. SMEs often rely on niche positioning, authenticity and personalised customer service, while more established and mature SMEs like Gents or Steamery combine differentiation with well structured and data-driven strategies for marketing purposes. This implies that differentiation as a phenomenon is not static, it is constantly evolving alongside the organisational growth of SMEs which in turn enables strategic learning and an increased digital sophistication.

The findings also display that differentiation in part is a strategic response to the increasing pressure stemming from increased competition facilitated by large digital platforms. SMEs can not generally match larger competition through the use of pricing power or high advertising budgets, instead they must gain a competitive edge where scale is less important. In practical terms this means that SMEs need to shift competition away from convenience and price alone and redirect it towards areas such as sustainability, expertise, product quality and trust where they certainly can compete with larger competitors. This aligns well with the argumentation for SMEs needing to reposition themselves in a strategically wise manner within highly competitive markets characterised by larger actors acquiring larger and larger market shares. (Verhoef et al., 2021).

Overall, our findings indicate that differentiation is a key and central mechanism for SMEs when it comes to maintaining competitiveness despite inherent structural resource constraints that put SMEs at a disadvantage. Digitalisation is not important because it allows SMEs to become more similar or identical to larger online retailers, but instead because it provides them with the means to communicate, strengthen, and scale their distinctive differences compared to larger online retailers in a manner that allows them to create customer value that is difficult for larger actors to replicate. Competitive advantage therefore seems to be created and sustained not from scale in itself but rather from the ability to combine digitalisation with niche positioning, authenticity, expertise, and customer trust in a strategic manner.

6. Conclusion

The conclusion chapter summarises the main findings of the thesis and provides a clear answer to the research question. It also presents the theoretical implications, managerial implications, limitations of the study, and suggestions for future research.

6.1 Summary of the research

The purpose of the research was to explore and analyse how Swedish e-commerce SMEs leverage digitalisation to overcome resource constraints and compete against larger international online firms in domestic and foreign markets. The study was inspired by the increasingly digital and international nature of e-commerce, in which smaller companies can access customers abroad more easily than they could before, but still encounters strong pressure from larger actors with better financial resources, advanced logistics, stronger brand recognition and larger marketing budgets. In this specific context, Swedish SMEs operate in a complex environment where digital tools create opportunities for growth while also generating new dependence and demand. The study was guided by the following research question: How do Swedish e-commerce SMEs leverage digitalisation to overcome resource constraints and compete with larger international online retailers in domestic and foreign markets? To answer this question, the thesis adopted a qualitative multiple case study design based on eight Swedish e-commerce SMEs from different consumer-facing sectors. The empirical material was collected through semi-structured interviews with company representatives and supported by secondary data from company websites, online stores, social media and other public sources. The theoretical foundation of the thesis combined literature on SME resource constraints, digitalisation, e-commerce internationalisation, digital platforms and competitive positioning. The resource-based view has been used in order to understand how SMEs can build competitive advantage despite limited resources, while digitalisation and internationalisation literature helped in explaining how digital tools and platforms support market reach, operational efficiency and customer interaction (Bargoni et al., 2024). The research focused on how the case companies prioritise digital tools, manage platform dependence, approach domestic and foreign markets, and differentiate themselves from larger companies.

6.2 Main findings and answer to the research question

The findings show that Swedish e-commerce SMEs leverage digitalisation in four ways. In other words, digitalisation permits the firms to compete, but only when it's connected to their resources, priorities and market positioning.

They first use digital tools to compensate for limited resources. They then rely on digital platforms and systems to increase their efficiency, visibility, and customer access. Third, they internationalise selectively rather than globally. Fourth, they compete with larger online retailers mainly through differentiation instead of price or scale. The first main finding is that resource constraints strongly shape digital choices. The case companies do not adopt digital tools randomly or simply because such tools are available. Instead, their choices are influenced by limitations in time, staff, technical knowledge, marketing capacity, logistics and financial resources. This supports previous research showing that SMEs often face structural challenges that can affect their ability to develop capabilities and compete internationally. This means that digitalisation works as a firm of resource compensation, as it allows smaller firms to carry out tasks that would usually be complicated with their limited organisational capacity. However, the findings also show that these constraints can create focus. Because SMEs cannot do everything at once, they often choose the tools, channels and markets that appear most strategically useful. This is one of the central findings of the paper, since it explains how digitalisation doesn't erase the disadvantages of being small, but it can help SMEs manage those disadvantages more effectively and strategically.

The second finding is that digitalisation functions as a resource-compensating mechanism. Tools such as Shopify, Google, Meta, AI, analytics, digital payment systems and social media allow SMEs to perform activities that would otherwise require larger teams, external agencies or more advanced infrastructure. In that sense, digitalisation permits SMEs to do more with less. This supports the view that digitalisation can strengthen firm capabilities when digital tools are integrated into larger organisational routines and strategic priorities (Bhandari et al., 2023). However, the findings also show that the benefits of digitalisation depend on the firm's ability to use these tools effectively. More mature firms, such as Gents and Steamery, appear better able to coordinate several channels and use data-driven approaches, while smaller firms often rely on fewer tools that fit their available capacity. Therefore, platforms should not be understood only as helpful tools. They are also external structures that shape what SMEs can and cannot do (Zhang et al, 2025).

The third finding is that digital platforms are both enabling and constraining. Shopify, Meta, Google, Klarna and Amazon provide SMEs with access to digital infrastructure, customers, payment solutions, advertising, and international reach. Without those kinds of platforms, many of the case companies could struggle to operate efficiently on the e-commerce market. Those platforms also create dependency. Indeed, SMEs may become reliant on advertising algorithms, platform fees, marketplace rules, payment providers or technical systems that they do not have control over. This supports the recent research arguing that digital platforms can provide resources for SME internationalisation while also creating new constraints and dependencies (Zhang et al., 2025). This explains how e-commerce creates international access, but resources still decide which markets SMEs can develop in (Temouri et al., 2025).

The fourth finding is that internationalisation is selective. All of the companies have some form of international potential or foreign market activity, but they do not all actively develop foreign markets in the same way. Some firms, such as Steamery and Wyde Footwear, have a more developed international profile. Others, such as Himalayan Wool and Fine Little Day, show a more organic form of internationalisation based on word of mouth, tourism, product interest or online visibility. Gents and Nordlys Viking also show that there is a difference between being able to ship internationally and actively investing in a foreign market. This means that e-commerce makes foreign sales possible, but resources still decide where the firm can actually compete. This supports research showing that digital channels can reduce internationalisation barriers, but that international growth still depends on learning, market knowledge and firm capabilities (Tolstoy et al., 2021; Temouri et al., 2025). This explains that competition in e-commerce is not only about selling similar products, but also about the standards that large platforms create on the market.

The fifth main finding is that large online retailers are not always direct competitors. Platforms such as Amazon, Temu, Shein and Zalando influence the market, but the case companies do not always see them as selling the same value to the same customers. Several SMEs argue that their customers look for quality, expertise, authenticity, sustainability, trust or a specific product solution rather than the lowest price. However, large online retailers still affect SMEs indirectly. They shape customer expectations about delivery speed, price, convenience and online service. This means that SMEs compete not only with products, but also with the standards created by large platforms.

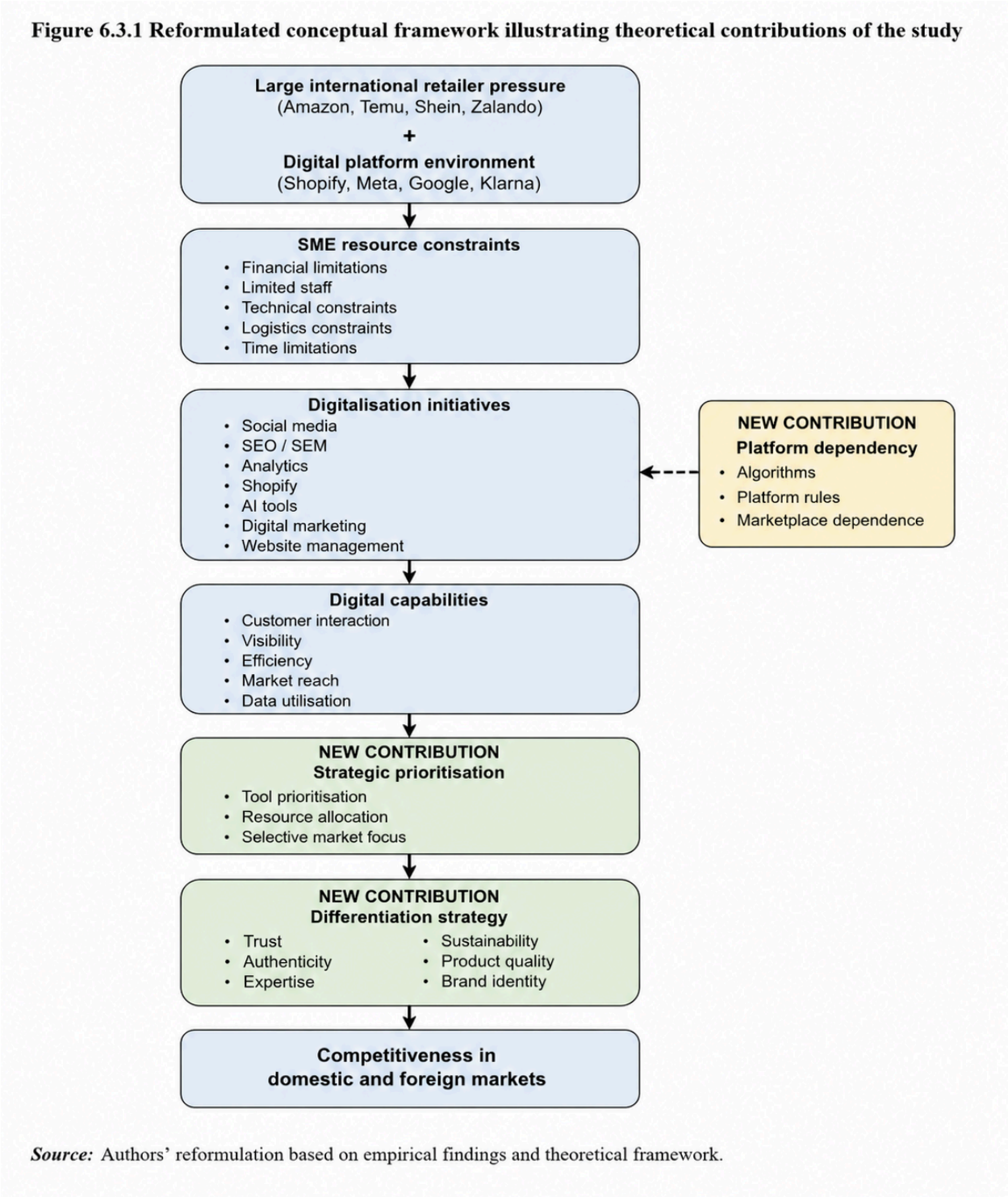
Finally, the study shows that differentiation is the main competitive response. The case companies do not normally try to compete with large online retailers through scale, price or broad assortment. Instead, they compete through niche positioning, customer trust, product quality, service, expertise, authenticity, sustainability and brand identity. Digitalisation is

important because it helps them communicate these differences through websites, social media, reviews, newsletters, customer service and digital storytelling. Therefore, Swedish e-commerce SMEs leverage digitalisation mainly by using it to strengthen and communicate what makes them different. Overall, the answer to the research question is that Swedish e-commerce SMEs use digitalisation to compensate for resource constraints, reach selected foreign markets, manage customer relationships and support differentiation. However, digitalisation does not erase the disadvantages of being small. It creates new opportunities, but also new pressures and dependencies. The most successful use of digitalisation appears to be when SMEs connect digital tools to a clear strategic focus, instead of adopting digital tools without direction.

6.3 Theoretical contributions

Figure 6.3.1 illustrates the reformulated conceptual framework developed from the empirical findings and theoretical foundation of the study.

Figure 6.3.1 Reformulated conceptual framework



The reformulated conceptual framework in Figure 6.3.1 was developed after analysing the empirical findings. It builds on the original framework presented in Chapter 2, but it also adjusts it based on what was actually found in the case companies. The initial framework suggested that Swedish e-commerce SMEs use digitalisation initiatives to build digital capabilities, which then support their competitive positioning. The findings still support this general idea, but they also show that the process is not as straightforward as the original framework suggested.

One important finding is that digitalisation does not simply solve the problem of limited resources. The case companies use digital tools, but they do so in selective ways depending on their available time, money, staff, knowledge and priorities. This means that resource constraints do not disappear once SMEs adopt digital tools. Instead, these constraints continue to influence which tools are used, how they are used and which markets the companies focus on. For this reason, resource constraints are shown in the revised framework as an ongoing influence, not only as a starting point.

Another important refinement concerns the role of platforms. The findings show that platforms and digital systems such as Shopify, Google, Meta and online marketplaces can help SMEs reach customers, increase visibility and manage online sales. At the same time, they can also create new forms of dependency. For example, SMEs may become dependent on algorithms, platform rules, paid advertising or marketplace conditions. This is why platform dependency was added to the revised framework. It shows that digitalisation can support SMEs, but also create new challenges.

The revised framework also shows that market expansion is selective rather than automatic. Digitalisation makes it technically easier for SMEs to sell in domestic and foreign markets, but this does not mean that they can actively develop all markets at the same time. The findings show that SMEs still need to choose where to invest their limited resources. They prioritise markets based on available resources, customer demand, market knowledge and strategic fit. Therefore, strategic prioritisation was added to the framework as an important part of how SMEs manage digitalisation and internationalisation.

A final refinement is the stronger role of differentiation. The findings show that the studied SMEs do not mainly compete with larger international online retailers through price, scale or delivery capacity. Instead, they rely on trust, authenticity, expertise, product quality, sustainability, customer service and brand identity. Digital tools are important because they help SMEs communicate these strengths more clearly to customers. In this way, digitalisation supports competitiveness not by making SMEs similar to large retailers, but by helping them make their own value proposition more visible.

Overall, the reformulated framework contributes theoretically by showing a more nuanced relationship between digitalisation, resource constraints and competitiveness. The value of digitalisation for Swedish e-commerce SMEs does not come from removing the disadvantages of being small. Rather, it helps SMEs manage their constraints, make strategic choices and communicate differentiated sources of value. The revised framework therefore shows how resource constraints, digitalisation initiatives, platform dependency, strategic prioritisation and differentiation interact in competitive digital retail markets.

6.4 Managerial implications

The findings also provide practical implications for managers of Swedish e-commerce SMEs and similar firms. The first implication is that managers should treat digitalisation as a strategic choice, not just as a general requirement. It is not enough to adopt digital tools because other firms are using them. SMEs need to ask whether a tool actually fits their resources, customers and business model. A digital tool is only useful if the firm has the time, knowledge and capacity to use it properly. The second implication is that managers should prioritise carefully. Since SMEs have limited resources, they cannot invest in every platform, every market or every digital trend. The findings show that the case companies often benefit from focusing on the tools and channels that create the most value. For some firms, this may mean prioritising Shopify, Google and Meta. For others, it may mean focusing more on email, customer service, organic social media or their own website. The important point is that digitalisation should support the firm's strategy, not distract from it. The third implication is that SMEs should avoid trying to copy large online retailers directly. Large actors such as Amazon, Temu, Shein and Zalando have advantages in scale, assortment, logistics, pricing and advertising budgets. Most SMEs cannot compete with these firms on the same terms. Instead, SME managers should focus on the areas where they can be stronger. These areas include niche positioning, product quality, expertise, authenticity, sustainability, customer service and trust. This is where smaller firms can create value that large platforms may find harder to imitate.

The fourth implication is that digital tools should be used to communicate differentiation. Websites, social media, customer reviews, newsletters, influencer visibility and digital storytelling should not only be used to generate traffic. They should also explain why customers should choose the SME. For example, companies can use digital channels to show product quality, explain production processes, present customer reviews, share expert advice or communicate brand values. In this way, digitalisation becomes a way to make the firm's difference more visible. The fifth implication is that managers should be careful with platform

dependency. Platforms can be very useful, but relying too much on one platform can create risks. If advertising costs increase, algorithms change, payment systems cause problems or marketplace rules become stricter, SMEs can be strongly affected. Managers should therefore try to build some level of control through their own channels, such as their own webshop, email lists, customer databases and direct customer relationships. This does not mean that SMEs should avoid platforms completely, but they should understand the risks. The sixth implication is that internationalisation should be selective. A webshop can make it technically possible to sell to many countries, but that does not mean the firm should actively target all of them. International markets require marketing, logistics, customer support, local knowledge and sometimes adaptation of communication or payment options. SME managers should therefore focus on markets where they have a realistic chance to build visibility and trust with the resources they have. A smaller number of well-chosen markets may be better than spreading resources too thinly. The seventh implication is that AI and automation should be used practically. AI can help SMEs with content creation, analysis, customer communication, coding, product descriptions or internal efficiency. However, it should not be adopted only because it is popular. Managers should start with concrete problems, such as saving time, improving product texts, analysing sales data or reducing repetitive tasks. AI should support the firm's work, not create more confusion.

Overall, the main managerial implication is that SMEs should use digitalisation to become more focused and more competitive in their own way. The goal should not be to become a smaller version of a large platform. Instead, SMEs should use digital tools to support what makes them valuable, such as niche knowledge, quality, trust, authenticity and strong customer relationships.

6.5 Limitations

This study has several limitations that should be considered when interpreting the findings. First, the study is based on eight Swedish e-commerce SMEs. This gives useful qualitative insight, but it does not allow statistical generalisation to all Swedish SMEs or all e-commerce firms. The findings should therefore be understood as context-specific insights rather than results that apply equally to every SME. Second, most companies were represented by one interviewee. The interviewees were relevant because they had knowledge of the company's e-commerce activities, digital tools, strategy or management. However, more interviews within each company could have provided a broader view. For example, interviewing people from marketing, logistics, customer service and management in the same firm could have shown more internal differences and provided deeper understanding of how digitalisation works across the organisation. Third,

the case companies operate in different sectors. This was useful because it made it possible to compare different types of Swedish e-commerce SMEs. However, it also means that the companies do not face exactly the same market conditions. A footwear company, a skincare company, a design company and a wool clothing company may have different customer expectations, margins, logistics challenges and competitive pressures. This variation strengthens the richness of the study, but it also makes direct comparison more complex.

Fourth, the study focuses on the company perspective. It examines how managers and company representatives understand digitalisation, competition and internationalisation. It does not study the customer perspective directly. The research is also based on interviews conducted during a specific period. Digital markets change quickly, especially regarding AI tools, platform rules, advertising costs, customer expectations and international shipping conditions. Due to this, some findings may change over time. For example, the way SMEs use AI or depend on platforms may look different in a few years. Finally, the research relies on qualitative interpretation. The analysis was conducted carefully, but another researcher might organise the findings in a different way or focus on different themes. This is a normal limitation of qualitative research. The goal of the paper is not to produce universal laws, but to develop a better understanding of how Swedish e-commerce SMEs use digital under resource constraints.

6.6 Suggestions for future research

Future studies could be built on this research in multiple ways. Firstly, future studies could include a larger sample of Swedish e-commerce SMEs. This could make it possible to examine if the patterns found in the research are also visible across a larger group of Swedish r-commerce SMEs. A larger sample could also make it easier to compare different sectors, and level of digital maturity for example. Secondly, future studies could compare Swedish SMEs with SMEs from other countries. Since Sweden is a digitally mature market with a strong infrastructure and high e-commerce adoption, the findings may not apply the same way to countries with a different digital condition. A comparative study could also show whether Swedish SMEs face different challenges and opportunities compared with SMEs in other European markets. Future studies could also focus more on the customer perspective. This research focused on how companies understand their own digitalisation and competitive position. It could be interesting to examine whether customers value the same things that SMEs believe are essential, such as quality, trust, sustainability and customer service. Fourthly, future studies could study AI in a deeper way. In fact, AI appeared as an important aspect in multiple of our interviews, but it was not the main focus of the paper. Future research could examine how SMEs utilise AI for marketing, customer

service, content creation, website development or operational planning. It would also be interesting to study whether AI actually helps SMEs reduce resource constraints or whether it creates new demands for knowledge and control.

Future studies could also explore platform dependency over time. In fact, many SMEs rely on platforms such as Shopify, Meta, Klarna and Amazon. A longer study could permit a deeper examination of how this dependency develops as SMEs grow and whether firms become more or less dependent on platforms over time. This could provide deeper insight into whether platforms mainly support SME growth or whether they create long-term strategic vulnerabilities. Finally, future research could examine the performance effects of specific digital tools. This research focused on qualitative understanding and managerial perceptions. Future qualitative research could investigate which digital tools or practices are the most related to international sales, customer relation or profitability among e-commerce SMEs. This could complement the qualitative findings and provide more measurable evidence about the impact of digitalisation.

Appendices

Interview Guide

1. Can you briefly describe the company, your role, and your e-commerce operations?

If they do not go into great detail with their answer:

- Could you expand a bit on your role specifically?
- What are you personally responsible for in the e-commerce part?

If they mention different markets of significant importance to them:

- "Which market is most important for you today?"
- "Do you approach different markets differently?"

If they mention any other sales channels:

- How important is e-commerce compared to other channels?

2. What limitations do you experience when competing with larger firms? *Have you had to choose or prioritise between different initiatives because of these constraints? Have you had to give up something you would have liked to pursue?*

If more depth is ideal*:*

- *Which of these limitations affects you the most in practice?*
- *Can you give a concrete example of when this was a problem?*

Regarding trade-offs:

- *How did you decide what to prioritise?*
- *What did you choose NOT to do?*

For analysis:

- *If you had more resources, what would you invest in first?*

3. Which digital tools or practices are most important for you today? Which digital channels or tools drive most of your traffic or sales today?

If more details is required or wanted:

- *Which one performs best for you?*
- *Why do you think that works better?*

For data:

- *How do you measure that it works?*
- *Do you track conversion rates or ROI?*

For comparison:

- *Are there channels that didn't work as expected?*
- *Do some channels bring more valuable customers than others?*

4. How do you use digital channels to reach and attract customers, both in Sweden and internationally?

For strategi:

- Do you adapt your strategy depending on the country?
- What has been most challenging when reaching international customers?
- I believe you are on shopify, is that correct? If so, how do you view the tools that Shopify provides? Are there any limitations and opportunities that you get solely as a result of you using Shopify's platform? have you considered shopify collective?

For concrete examples:

- Can you give an example of a campaign or approach that worked well?

5. How do you view selling through external platforms compared to your own website?

For trade-offs:

- What are the main advantages for you?
- What are the biggest downsides?

For analysis:

- What do you think about control vs reach?
- Have you ever felt dependent on a platform?

6. How do you work with customer experience to differentiate yourselves? What do you believe is the main reason customers choose you instead of cheaper alternatives?

For depth:

- What do customers mention most often?
- How do you know that this is the reason?

For a more concrete response:

- Can you give an example of how you work with this in practice?

For strategy:

- Is this something you actively invest in?

7. How do large platforms like Amazon, Temu, or Shein affect your business? *Have these platforms changed what customers expect from you (e.g. price, delivery, convenience)?*

For a more concrete response:

- *Where do you notice this the most?*
- *Has it affected your pricing or marketing?*

For the customer perspective:

- *Have customer expectations changed over time?*
- *What do customers expect today that they didn't before?*

For further clarity on how to adapt to customers expectations:

- *How have you adapted to this?*

8. Is there anything you consciously do differently in order to compete despite having fewer resources?

For strategy:

- Is this a conscious strategy or something that evolved over time?

For example:

- Can you give a concrete example of this in practice?

For analysis:

- Do you think this gives you an advantage over larger firms?

Use of AI tools

During the development of this thesis AI tools were used in accordance with the established AI guidelines that were outlined for this course. These tools were used for spelling and grammar which relates to the clarity of the thesis. The authors of this thesis are fully responsible for the conducted research, which includes the literature selection, interpretation of findings, analysis, data collection, research design and all other academic material presented in this study.

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